



September 9, 2026

Visa/Mastercard: Value-Added Services Deep Dive

Fintech & Payments

Our view: As Value-Added Services have grown from a supplemental revenue line to a key driver of both Visa and Mastercard's long-term growth algorithms, understanding the composition, growth dynamics, and competitive positioning of these portfolios has become increasingly important to the long-term investment thesis for both companies. This report provides a comprehensive overview of each firm's VAS portfolio at the product level, our analysis of the persistent growth rate differential favoring Visa (averaging ~4ppt over the past 14 quarters), and the two structural factors and the one qualitative factor we believe are driving it: differences in network-linked revenue mix and the flywheel pull-through from Visa's exclusive global sponsorship properties.

Overview of Valued-Added Services. Value-Added Services (VAS) have become increasingly important and complex parts of both Visa and Mastercard's businesses, representing a fundamental shift in the revenue mix of these two network giants, away from primarily payments facilitation to servicing a wider breadth of issuer and merchant needs. While there is overlap in the VAS portfolios of these two companies, the differences lie in the largest areas of revenue generation. Mastercard's portfolio of cybersecurity and fraud prevention solutions and services comprises the largest portion of their VAS revenues, whereas Visa derives most of its VAS revenues from assisting issuers with designing card programs, managing cardholder accounts, running rewards programs, and handling all the technology that makes cards work.

Scale and penetration. Visa has identified a \$520B TAM for its VAS business and has captured ~2.6% of it; Mastercard has identified a \$490B TAM and has captured ~3.0%. Mastercard's VAS business is larger in absolute terms (~\$14.6B TTM vs Visa's ~\$13.3B) and represents a larger share of total revenue (~42% vs ~30%). Visa's VAS business is growing faster (~30% TTM y/y vs ~23%) and has outpaced Mastercard for 13 of the past 14 quarters. Both firms report VAS contributing more than half of the C2Q26 incremental revenue growth (Visa ~65%, Mastercard ~56%). On a longer horizon, both have compounded VAS revenue at high rates (Visa >20% CAGR FY21-FY25, Mastercard ~18%). ~65%/~60% of VAS revenue is network-linked for Visa and Mastercard, respectively.

Growth rate differential. The data shows a persistent VAS growth premium in Visa's favor for 13 of the past 14 quarters, averaging ~4ppt. We believe there are 3 main drivers of this differential: 1) Visa has a larger portion of VAS revenue that's linked to transactions vs Mastercard, which in conjunction with a larger transaction base, leads us to believe that this is the dominant factor; 2) base effects further skew the advantage in Visa's favor, as their VAS portfolio is smaller in terms of total revenue relative to Mastercard; and 3) Visa's sponsorship portfolio, anchored by globally uniform properties, such as the Olympics and FIFA, creates larger-scale cardholder activation events over Mastercard's regionally diverse properties with smaller-scale viewership.

Portfolio composition. The two portfolios are built around fundamentally different anchors. Mastercard's largest VAS segment is Security Solutions (cybersecurity, fraud, identity, and dispute management), which benefits from secular tailwinds in digitization and rising fraud sophistication and has been further scaled through acquisitions like Recorded Future, RiskRecon, and Baffin Bay. Visa's largest segment is Issuing Solutions (card benefits, loyalty, issuer processing, and core banking via Pismo), which is more tightly coupled to the transaction itself and grows mechanically as processed transactions and premium card counts increase.

What is VAS and why is it important?

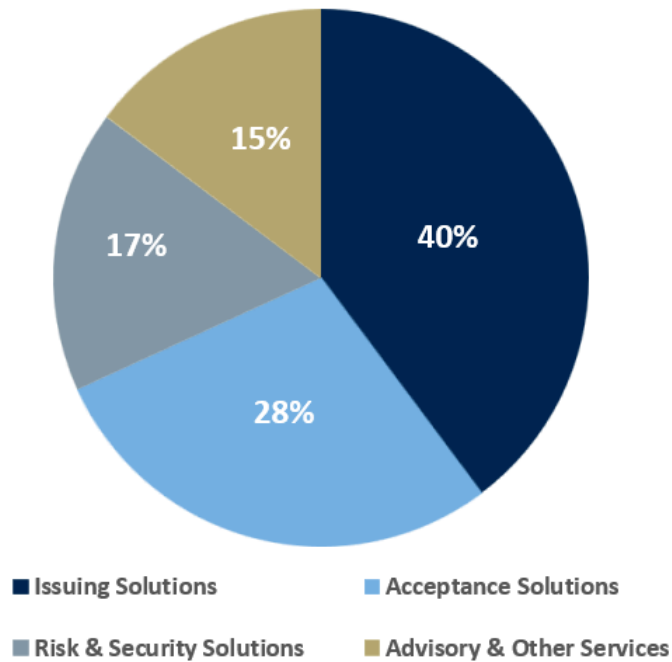
Value-Added Services, or VAS for short, are a collection of businesses outside of the core operations of firms like Visa and Mastercard (Mastercard labels theirs as Value-Added Services and Solutions [VASS]). For Visa, this consists of 4 separate businesses: Issuing Solutions, Acceptance Solutions, Risk & Security Solutions, and Advisory & Other Services. Mastercard segments their operations into 5 businesses: Security Solutions, Customer Acquisition & Engagement, Business & Market Insights, Other Services, and Other Solutions. Historically, the payment network business was by and large the main revenue driver for both Visa and Mastercard, but in recent years VAS has become a larger part of both firms, with Visa and Mastercard's VAS businesses representing ~30% & ~42% of TTM total net revenues, respectively, as of C2Q26. Their weighted average incremental contribution to growth has also grown rapidly, with Visa and Mastercard's VAS businesses contributing ~65% & ~56% of their C2Q26 y/y growth, respectively. The scale of the VAS opportunity is significant for both businesses. Visa has identified a TAM of \$520B across its 4 VAS portfolios, and as of C2Q26, has only captured ~2.6% of their TAM over the TTM. Mastercard's TAM is slightly lower at \$490B, attributable to the differences in their portfolio compositions, and has only captured ~3.0% over the same period.

Exhibit 1 - Quantitative Differences between Visa and Mastercard

	<i>Visa</i>	<i>Mastercard</i>
<i>TAM</i>	\$520B	\$490B
<i>% of TAM Captured</i>	~2.6%	~3.0%
<i>TPV C2Q26</i>	\$4,658B	\$2,882B
<i>TTM revenue</i>	\$44.5B	\$35.1B
<i>VAS TTM revenue</i>	\$13.3B	\$14.6B
<i>VAS TTM revenue as % of total revenue</i>	~30%	~42%
<i>VAS TTM y/y revenue growth</i>	~30%	~23%
<i>VAS % C2Q26 incremental revenue growth contribution</i>	~65%	~56%
<i>VAS CAGR (FY21 -FY25)</i>	>20%	~18%
<i>Proportion of network-linked VAS revenue</i>	~65%	~60%

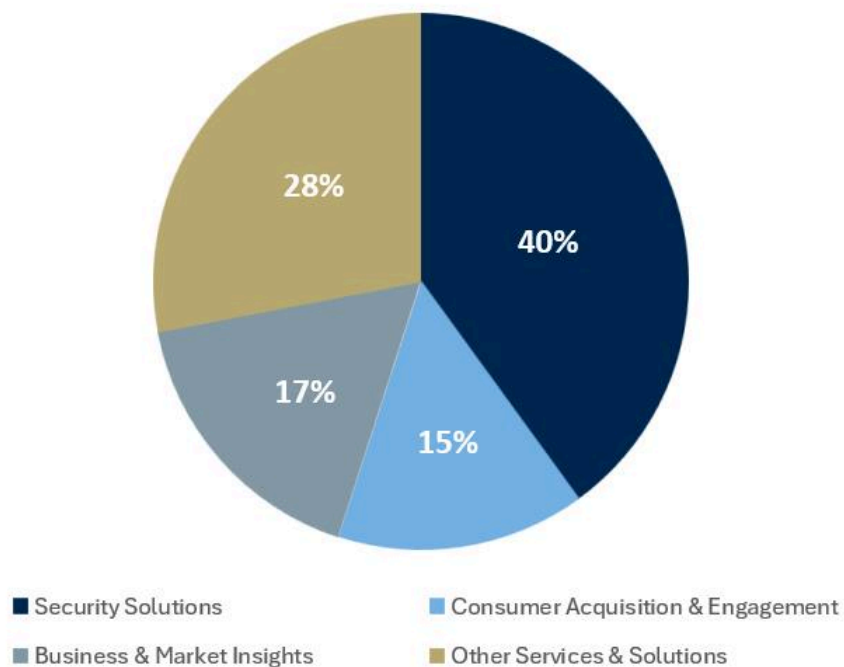
Source: Company Data, RBC Capital Markets Estimates

Exhibit 2 - FY24 Visa VAS Segment Revenue Disaggregation



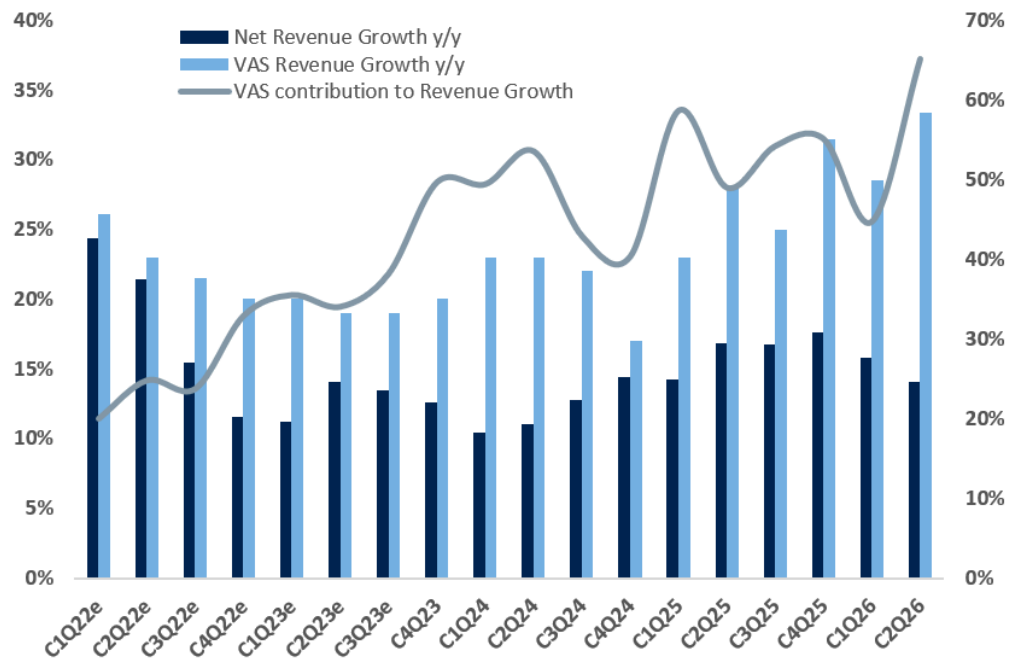
Source: Company data, RBC Capital Markets

Exhibit 3 - FY24 Mastercard VASS Segment Revenue Disaggregation



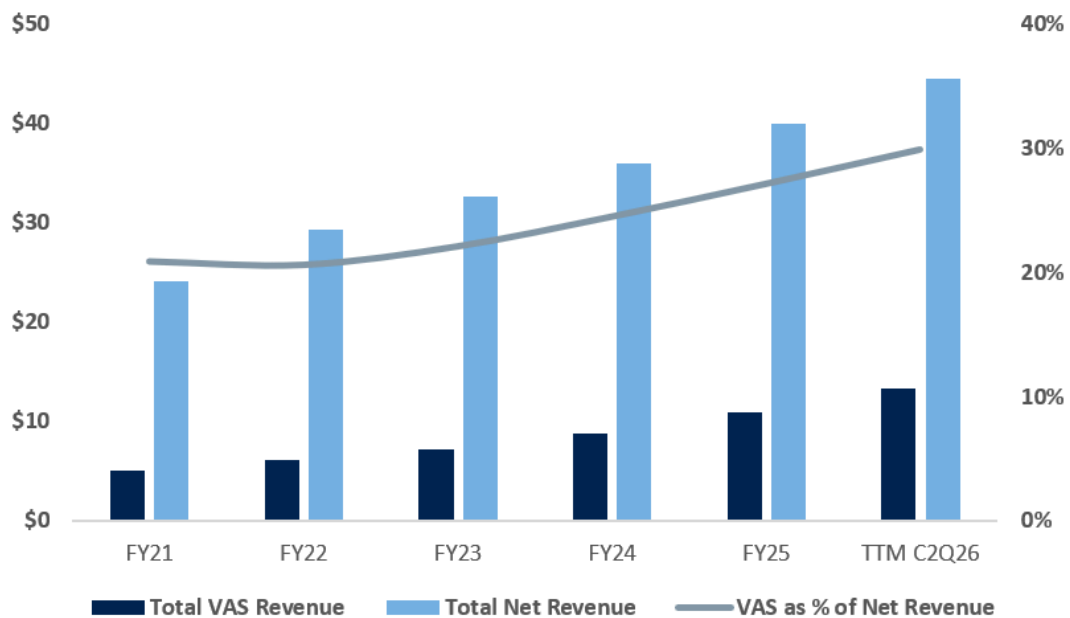
Source: Company data, RBC Capital Markets Estimates

Exhibit 4 - Visa VAS & Total net revenue growth (left axis) & VAS contribution to total net revenue growth (right axis)



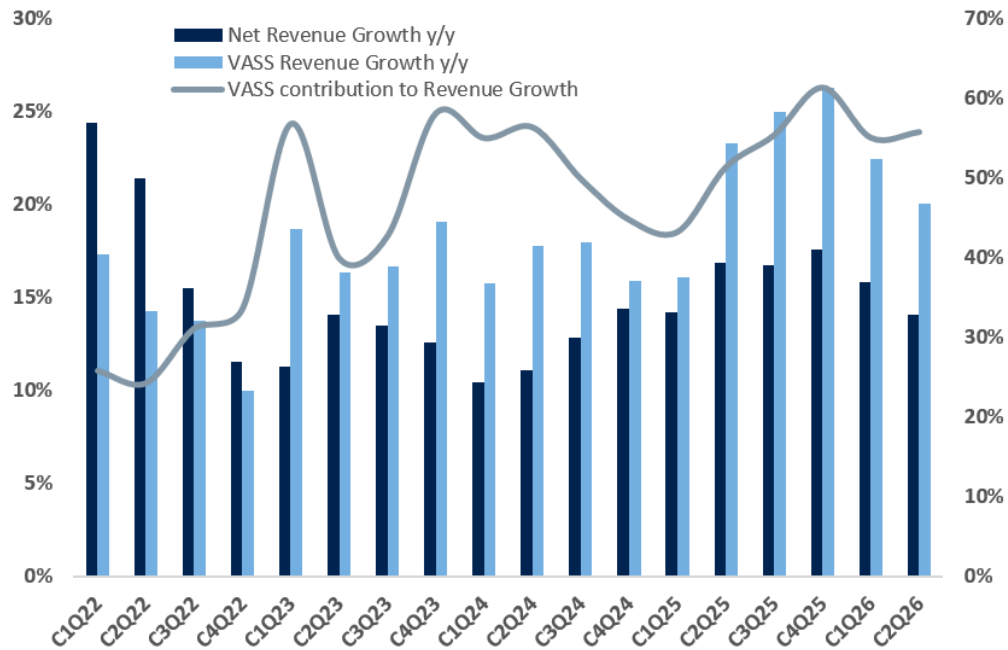
Note: C1Q22 through C3Q23 are RBC Capital Market estimates based on annual figures and reported constant currency growth rates
Source: Company data, RBC Capital Markets Estimates

Exhibit 5 - Visa VAS & total net revenues (left in \$B) vs. VAS % of total net revenues (right)



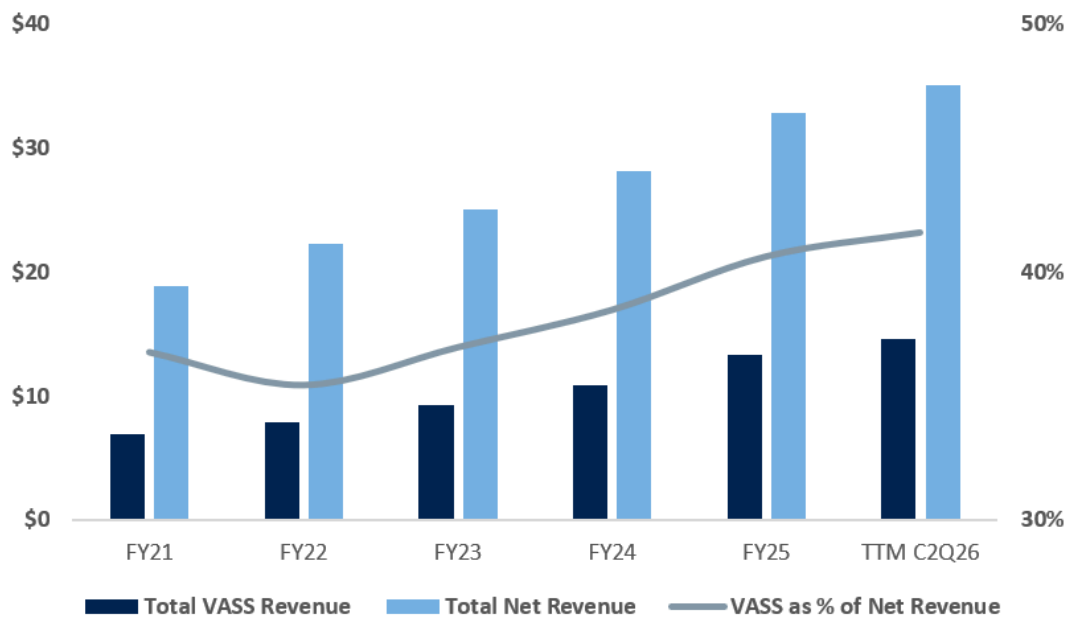
Source: Company data, RBC Capital Markets Estimates

Exhibit 6 - Mastercard VASS & Total net revenue growth (left axis) & VASS contribution to total net revenue growth (right axis)



Source: Company data, RBC Capital Markets Estimates

Exhibit 7 - Mastercard VASS & total net revenues (left in \$B) vs. VAS % of total net revenues (right)



Source: Company data, RBC Capital Markets Estimates



Exhibit 8 - Visa & Mastercard: Sponsorship Events vs. VAS Growth (YoY, Constant Currency)

Quarter	Visa Event(s)	Mastercard Event(s)	V Quarter Growth	MA Quarter Growth	Δ
C1Q23	Club World Cup, Super Bowl	Grammy's	20%	21%	(1)ppt
C2Q23	-	French Open, Masters, UEFA CL	19%	16%	3ppt
C3Q23	Women's World Cup	MLB All-star game	19%	14%	5ppt
C4Q23	Red Bull F1 sponsorship begins	Rugby WC, Cricket WC, LoL World Championship	20%	17%	3ppt
C1Q24	Super Bowl, Formula 1	Grammy's	23%	15%	8ppt
C2Q24	Formula 1	French Open, Masters, UEFA CL	23%	19%	4ppt
C3Q24	Formula 1, Olympics and Paralympics	Copa America, MLB All-star game	22%	19%	3ppt
C4Q24	Formula 1	LoL World Championship	18%	17%	1ppt
C1Q25	Formula 1, Super Bowl	Grammy's	22%	18%	4ppt
C2Q25	Euroleague, Club World Cup	French Open, Masters, UEFA CL	26%	22%	4ppt
C3Q25	Formula 1	McLaren F1 sponsorship begins, MLB All-star game	25%	22%	3ppt
C4Q25	Formula 1	Formula 1, LoL World Championship, women's rugby WC, TCS NYC Marathon, Nick Jonas performs at 2025 World Series	28%	22%	6ppt
C1Q26	Formula 1, Super Bowl, Winter Olympics	Formula 1, Grammy's	27%	18%	9ppt
C2Q26	Formula 1, Euroleague, FIFA World Cup	Formula 1, French Open, Masters, UEFA CL, MA begins Miami CF sponsorship	34%	18%	16ppt

Source: Company data, RBC Capital Markets Estimates

Persistent growth differential

The data shows a consistent outperformance in Visa's VAS portfolio against Mastercard's for 13 out of the past 14 quarters, with an average spread of ~4ppt on a y/y constant currency basis. The exception was C1Q23, when Mastercard's VAS grew 21% versus Visa's 20%, a 1ppt gap in Mastercard's favor, however adjusted for acquisitions Mastercard only grew 18% CC for the quarter. Outside of that single quarter, the spread has ranged from as narrow as 1ppt to as wide as 16ppt in C2Q26. We believe there are two structural drivers and one qualitative driver behind this gap.

Network-linked revenue mix

The first factor is Visa's higher proportion of network-linked VAS revenue, which is also aligned with Visa's largest VAS segment: Issuing Solutions. Issuing Solutions' revenue drivers are Visa

network transactions and premium cards in force, meaning the segment's revenue scales with transaction activity. Mastercard's VASS portfolio is weighted differently. Its largest segment is Security Solutions at ~40% of VASS revenue, which includes subscription-based and engagement-based businesses like Recorded Future, RiskRecon, and Cyber Front. These are valuable and fast-growing, but their revenue is structurally less tied to per-transaction activity on Mastercard's network. Mastercard does have growing network-linked tokenization services within its Other Solutions segment, and management charges for services layered on top of tokens such as authentication, lifecycle management, and cryptogram validation, but this segment carries less weight in Mastercard's overall VASS mix than Issuing Solutions carries in Visa's.

Visa sits at ~65% network-linked versus ~60% for Mastercard. That 5ppt difference compounds on top of a materially larger transaction base. Visa's TPV as of C2Q26 was \$4,658B versus \$2,882B for Mastercard, ~1.6x larger. If both firms grow transactions at identical rates, all else equal, Visa converts more of each incremental transaction dollar into VAS revenue, and because that conversion advantage compounds on a larger base, the absolute dollar gap on network-linked VAS revenue widens every year.

Revenue base effects

The second structural factor relates to the smaller revenue base from which Visa's VAS portfolio is growing. Visa/Mastercard had VAS revenues totaling \$9.1B/\$10.8B, \$11.6B/\$13.3B, \$13.3B/\$14.6B, from CY24 through the TTM C2Q26. Visa's VAS was growing from a revenue base that was ~16% smaller than Mastercard's, which has closed to ~9% in C2Q26. The same incremental dollar growth will naturally generate a higher percentage growth figure due to the smaller denominator.

Sponsorship portfolio

The qualitative driver is Visa's sponsorship portfolio. Both networks run the same playbook with sponsorships: drive marketing services engagements, create co-branded campaigns, and cross-sell clients into other VAS products. The difference is in the assets. Visa's properties (Olympics, FIFA, Formula 1 with two teams) have larger scale and a more global reach; Mastercard's (Champions League, Copa America, Grammys, Masters, Formula 1) are more regionally and demographically concentrated. While this in and of itself doesn't necessarily drive the outperformance of Visa's VAS segment relative to Mastercard's, it does provide a greater value-add for issuers and merchants shopping around for cardholder activation and engagement events. Functionally, acting as a flywheel accelerant for Visa, due to the easier cross-sell opportunity into issuing solutions (which as previously discussed is their largest VAS segment) and Advisory & Other Solutions (which rotates the flywheel). This compares to Mastercard which has cardholder engagements and the like, as a much smaller percentage of their revenue, which mutes the incremental benefit of the sponsorship portfolio vs Visa.

The Flywheel

Despite comprising the smallest portion of the 4 VAS portfolios by revenue (as of FY24), Advisory & Other Services serves a key strategic role: providing the initial momentum for the flywheel. To illustrate, say Visa's advisory team engages an issuer to run a co-branded card campaign with FIFA. That engagement puts the issuer's card in front of a global audience and drives incremental sales growth. Further, the campaign itself is also the beginning of a deeper commercial relationship. Once the issuer is in the Visa ecosystem, Visa's advisory and sales teams proactively identify and pitch additional VAS products to that client; fraud detection, analytics, tokenization, and so on. Visa is actively expanding its footprint within that client, using the initial advisory or sponsorship engagement as the entry point, and then layering on additional services over time.



We can see the impacts of the flywheel effect in action on their financial results. Given that Advisory Services have a structurally lower margin because the work is more labor intensive. Yet that hasn't hurt the businesses margins, as these advisory services end up driving sales in all other VAS portfolios and other parts of the Visa business as a whole. As articulated by Visa's Global Head of Strategy Lisa Ellis at the BofA Payments Symposium in March 2025, "There's a tremendous flywheel effect...Our VAS business has grown at a 20% clip over the last three years...And you've seen no deterioration in our company wide margins."

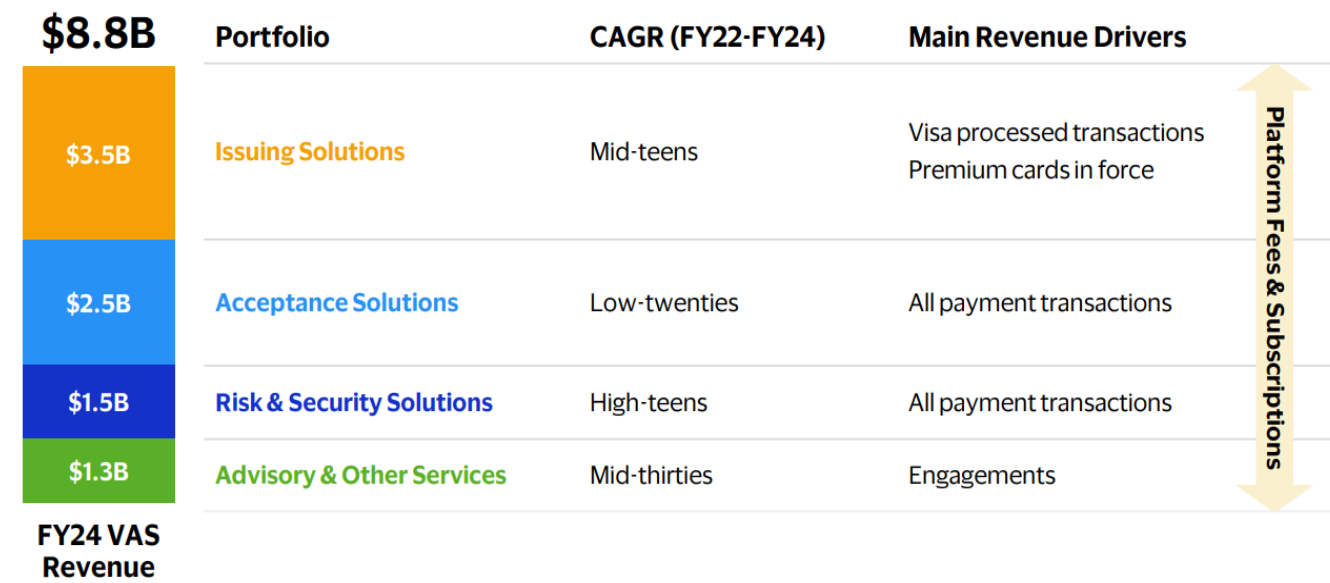
The Virtuous Cycle

Mastercard's virtuous cycle is their version of Visa's flywheel, functioning in a fairly similar manner. Every transaction Mastercard switches generates data. The company uses that data to develop services like fraud scoring, tokenization, and authentication, which it sells back to issuers, merchants, and other clients. Those services make the core payment credential more valuable and harder to replace, which helps win and retain portfolios, driving more volume back onto the network and producing more data. Roughly 60% of VASS revenue is directly network-linked, meaning it is tied to payment network usage (transaction fraud scores, chargeback solutions, digital authentication) and scales with volume rather than requiring separate per-client sales. As CEO Michael Miebach stated at Bernstein 2026 conference, "More transactions, better services...better services drives more differentiation of our payments because our payment will be smarter and safer than the next competitor's payment...that helps us retain more payment portfolios and win more payment portfolios, which means more data and the whole cycle keeps going."

Much like Visa, Mastercard also uses its consulting function to cross-sell. As CFO Sachin Mehra explained at the JPMorgan TMT Conference 2026, "you have that consulting engagement which goes in there and says, 'By the way, you have a fraud problem. Let me help you out with a fraud solution,' which happens to be a network-linked solution." The lower-margin advisory work seeds higher-margin, network-linked services, which is best seen by Mehra's later comments from the same conference, "I think it'd be short-sighted for us not to grow our consulting and marketing services practice if what that does is enables greater growth of the payment network and enables greater growth of what would be our network-linked revenues. We've got to do it, we've got to do it smartly, and that's what we're gonna do."



Exhibit 9 - Breakdown of Visa's VAS portfolio



Source: Company release

Exhibit 10 - Breakdown of Mastercard's VAS portfolio



Source: Company release



Visa's VAS Portfolio

Issuing Solutions

Overview

Issuing Solutions is the largest of the four VAS portfolios, generating ~\$3.5 billion in revenue in FY24 and growing in the mid-teens on an annualized basis over the 2 years from FY22 to FY24, with management disclosing that all four individual portfolios have been growing faster than their historical growth rates in their F3Q26 earnings call. Functionally, this segment is Visa's portfolio of tools and services that assist issuers with designing a card program, managing the cardholder's account, running rewards programs, and handling all the technology that makes cards work.

The primary revenue drivers within this portfolio are Visa-processed transactions and the number of premium cards active. The portfolio is organized into four sub-segments: Cardholder Engagement, Cardholder Experiences, Issuer Processing, and Core Banking.

Cardholder Engagement

Card Benefits

Issuing banks want to keep their cards top of wallet, and they often achieve this through benefits programs, which are costly for individual banks to develop and maintain. Visa has a comparative advantage in this field as they can develop a large benefits program by aggregating demand across thousands of issuers, which enables them to negotiate perks at a level beyond what most individual banks can, and then spread that cost across their large base of clients. The reduced cost for individual issuers combined with the expanded perks for their cardholders pads issuer margins and increases the value proposition of their cards. Visa benefits by getting a high-margin revenue stream from selling these programs at scale. Essentially, this sub-business can be thought of as Visa's outsourced cardholder perks solution.

The perks themselves span a wide range of categories. On the travel side, this includes access to exclusive airport lounges, airport pre-screening, and meet-and-assist services in airports across the Gulf Cooperation Council. For hotel stays, partnered luxury and boutique properties offer Visa cardholders automatic room upgrades, lower available daily rates, and complimentary amenities. On the dining side, a partnership with OpenTable gives eligible cardholders access to coveted restaurant reservations in the United States, with plans to expand into Canada and Mexico. Auto rental collision damage waivers, concierge support, and exclusive shopping experiences at luxury retailers such as Harrods, Saks Fifth Avenue, and Louis Vuitton are also available for ultra-high-net-worth cardholders in certain markets.

Loyalty

Visa's Loyalty services provide the infrastructure that enables issuers and merchants to operate their own rewards programs. Instead of building out the points ledger, redemption platforms, fraud controls, etc., involved with creating a rewards management system, clients can plug directly into Visa's platform and have all of that handled for them. The service covers the managing of rewards points systems and cashback programs, the redemption platform where cardholders can spend their points, and the execution of targeted marketing campaigns, personalized card-linked offers, sweepstakes, and promos on the client's behalf.

Cardholder Experiences

Digital Enablement

Consumers are increasingly demanding more out of their banking apps, from subscription management software to digital wallets and the capability to push their credit cards to said digital wallet by pressing a single button in their banking app. These are complicated and technically difficult projects to undertake. Digital Enablement is Visa's answer to these

demands and complications. Their Digital Wallet Enabler allows card issuers and wallet providers to build and manage their own mobile wallets. Through their Digital Enablement Software Development Kit (SDK), Visa provides a pre-built toolkit that financial institutions, fintechs, and app developers can integrate into their mobile apps to add secure, native payment features without having to engineer those capabilities from scratch.

Digital Enablement SDK has a wide variety of tools, and pre-built features for developers to implement. Digital Card Display allows a banking app to securely pull a cardholder's card details, such as the 16-digit card number (known as the Primary Account Number, or PAN), the expiration date, and the CVV2 (the three-digit security code on the back of the card), directly within the app. In-Wallet Provisioning, which allows a cardholder to add their card to Apple Wallet, Google Wallet, Samsung Pay, or Visa Click to Pay with a single tap of a button inside their bank's app, rather than having to manually type out the card number, expiration date, and billing address. Additionally, they have announced more features as coming soon in their documentation.

Issuer Processing

DPS (Debit Processing System)

DPS is Visa's established back-end processing platform for debit cards, primarily in the US. When a consumer taps their card at the checkout counter, DPS is typically the system that captures the payment request, encrypts it, routes it to the respective bank to check for available funds, receives the authorization decision, and sends that approval back to the merchant. In FY23 alone, DPS processed >\$2.5T in card authorizations.

DPS does more than just process transactions. It provides network flow integration, which connects a bank's internal systems to >20 card networks and banking rails (not just Visa), ensuring that data moves smoothly and cheaply regardless of which network a given transaction routes through. Further, it handles managed settlement and compliance, which involves the actual movement of money between banks once a transaction is authorized, while staying within regulatory guidelines. The Cards and Credentials module deals with storage, tokenization (more on what this means shortly), and processing of both physical card data and digital wallet tokens. Additional features include fraud mitigation tools, dispute management infrastructure, and direct connectivity between point-of-sale (POS) terminals in stores and the various payment networks they need to reach.

Pismo

Acquired by Visa in 2024, Pismo is a cloud-native issuer processing and core banking platform. Most legacy bank processing systems were built decades ago to run on physical servers housed in bank data centers. When cloud-computing became standard, many of these legacy banks moved their old software onto cloud servers, while the underlying architecture remained old, rigid, and unoptimized. Pismo was designed on the cloud, using modern software architecture principles. It's modular, flexible, and accessible via APIs (standardized connection points that allow different software systems to talk to each other). The design of Pismo allows banks to update, modify, or expand specific parts of their tech stack without having to undergo a costly and risky overhaul of their legacy system all at once.

In more detail, Pismo is a platform that: handles the issuance and management of credit, debit, prepaid, and commercial cards (both physical and digital); provides a core banking ledger (a master record of every account balance, transaction, and financial event); provides management of checking and savings accounts, as well as deposits, in real time; builds and manages digital wallet systems; handles loan creation, automatic repayments, and disbursements; and it provides payment processing, statements, and transaction reconciliation for merchant clients.



Core Banking

Core banking is also delivered through Pismo's management of a bank's core ledger and accounts function (discussed previously). Since the acquisition closed, Pismo has expanded from its original five countries into 19 new markets as of F3Q26, with a focus on Latin America and Southeast Asia where it first established its client base. Earlier clients include Itau and BTG in Latin America, and Citi selected Pismo for demand deposit account solutions for deployment in the US market. More recently, Wells Fargo entered into an agreement in F2Q26 to migrate to Pismo's core account ledger as part of a broader core banking modernization, and new client signings in France, the Philippines, Paraguay, and Romania were announced in the same quarter. In the US, Visa is pursuing a two-track go-to-market strategy: Pismo targets large bank core banking modernization (as with Wells Fargo), while a combined DPS-Pismo integrated issuer processing solution targets small and mid-sized issuers and fintechs; outside the US, Pismo is the single go-to-market platform for both issuer processing and core banking.

Acceptance Solutions

Overview

Acceptance Solutions is the second-largest VAS portfolio, generating ~\$2.5 billion in revenue in FY24 and growing in the low-to-mid teens on an annualized basis over the 2 years from FY22 to FY24. While Issuing Solutions focuses on the bank that issues a card, Acceptance Solutions focuses on the other side of the transaction: the merchant, the payment processor, the merchant acquirer, and/or the software platform that needs to accept payment. This portfolio is largely network-agnostic (can handle payments outside of just the Visa network), which broadens the SAM by extending the portfolio's reach to merchants that operate on other networks like Mastercard, AMEX, and others.

The primary revenue drivers are all payment transactions, and the portfolio is organized into three sub-segments: Network Products, the Acceptance Platform, and Post-Purchase Solutions.

Network Products

Credential Management and Tokenization

Traditionally, when a cardholder stored their card details on an e-commerce site, that site kept the actual PAN in its database. If that database was ever compromised by hackers, the stolen numbers could be used to make fraudulent purchases anywhere in the world. The answer to this is tokenization, which replaces the real PAN with a randomly generated substitute of the same length and format (a token). The token looks identical to a real card number from the perspective of back-end payment systems. However, the token is tied to a specific context (e.g., a specific merchant, device or transaction). If a hacker steals the token, all they have is a meaningless string of numbers that can't be used anywhere else. The card remains safely stored on Visa's end, and the merchant never has to handle the storage of that card's information.

Visa's Token Management Service (TMS) is a network-agnostic integration point that allows merchants and acquirers to manage tokens across any card network or payment processor through a single connection. Rather than integrating separately with Visa's tokenization system, Mastercard's tokenization system, and every other network's equivalent, a merchant can connect once to TMS and handle all of them through a single integration.

Account Verification

Before a transaction is approved it is critical to verify that the payment credentials being used belong to the person using them. Account verification is Visa's set of solutions involved in verifying those credentials, thereby reducing fraud. It validates that a bank account, card, or prepaid card is real and active before a transaction proceeds. It checks the cardholder's billing

address against what the issuing bank has on file (a service called the Address Verification Service, or AVS), confirms that the name on the card matches the name on the account, and validates the CVV2 security code.

Acceptance Platform

CyberSource

Visa's enterprise-grade payment gateway (intermediary between a merchant's website/POS and the banking infrastructure that moves money) and fraud management platform. CyberSource serves more than 160 countries and territories. It is omnichannel, meaning it handles both card-present transactions (where the customer physically swipes a card in store) and card-not-present (CNP) transactions (where the transaction is online without a physical card reader). It uses AI models to screen every transaction in real time, flagging suspicious activity while ensuring that legitimate transactions are approved as quickly as possible. It is also white-labeled by acquirers, meaning a bank that processes payments for merchants can offer CyberSource's capabilities to its merchant clients under the bank's own brand, without the merchants ever knowing that Visa's technology is running underneath.

Authorize.net

Authorize.net is the SMB-focused counterpart to CyberSource. It processes ~\$200 billion in annual volume (as of Visa's Investor Day 2025). The platform was recently relaunched with a redesigned interface, AI-powered data summarization, and enhanced analytics tools to help smaller businesses better understand their sales trends and customer behavior.

Intelligent Authorization

Banks sometimes decline legitimate transactions due to their fraud-detection systems being overly cautious, or data constraints preventing accurate risk analysis. Intelligent Authorization is Visa's solution aimed at reducing false declines. By leveraging Visa's extensive pool of data on client transactions and AI, Intelligent Authorization analyzes hundreds of data points to assess and generate real-time risk scores at the moment of checkout. This allows banks to reduce false declines, without degrading the integrity of their risk controls, approving more transactions, leading to less lost revenue for their merchant clients.

Commerce Services

This is a broad category encompassing a broad set of tools designed to make the payment process easier and more efficient for merchants. For example, Bank Identification Number (BIN) Lookup reads the first several digits of a card number, the system then instantly identifies the issuing bank, the card network, and the card type, ensuring that the transaction is routed correctly regardless of which card brand is being used. Global Tax Calculation is another example: for e-commerce merchants selling to customers in multiple countries, this service automatically calculates the correct sales tax or VAT in real time. These tools reduce false declines and help merchants route transactions along the fastest, most cost-effective path.

Post-Purchase Solutions

Visa Resolve Online (VROL)

When a cardholder disputes a transaction, the dispute process begins. This process involves the issuer, the merchant, the merchant acquirer, and Visa, all exchanging documentation and making decisions according to strict timelines. Managing this process manually is tedious. A single missed deadline can result in a merchant losing a dispute by default. Visa Resolve Online is a centralized, automated system that tracks the full lifecycle of the dispute process. Issuers submit dispute reasons through the platform; merchants and acquirers upload evidence such as receipts, delivery confirmations, and communication records.



Verifi

Verifi is involved earlier than VROL, before a formal dispute happens. Sometimes a cardholder doesn't recognize a charge on their account for one reason or another (e.g., the merchant's name appears differently than expected in the cardholder's statements). The cardholder's bank may file a formal dispute on their behalf, triggering a costly chargeback process involving the loss of a sale, a chargeback fee, and staff time to resolve. This is what Verifi aims to mitigate. It creates a real-time connection between the cardholder's bank and the merchant's transaction data. When a customer questions, challenges, or requests information about an unfamiliar charge, Verifi can instantly surface the merchant's receipt, transaction details, and order confirmation directly to the bank's customer service agent, clarifying the charge before it ever becomes a formal dispute.

Risk & Security Solutions

Overview

Risk and Security Solutions generated ~\$1.5 billion in revenue in FY24, growing in the high teens on an annualized basis over the two years from FY22 to FY24. The portfolio aims to minimize fraud and maximize valid transaction approval. These two goals are at odds with each other; the more aggressively a system filters for fraud, the more legitimate transactions it accidentally blocks, and vice versa. Visa's risk services and solutions are designed to navigate this tension by utilizing AI to distinguish valid transactions from fraudulent ones in a more efficient way than traditional rules-based approaches. Additionally, this portfolio is becoming increasingly network-agnostic, encompassing transactions on non-visa rails, account-to-account (A2A) payments, and real-time payment systems.

The primary revenue drivers are all payment transactions, and the portfolio is organized into four sub-segments: Transaction Risk, Authentication, Cybersecurity, and KYC.

Transaction Risk

Visa Advanced Authorization (VAA)

VAA is Visa's core AI-powered transaction risk offering. For every single transaction that flows across the Visa network, VAA generates a numerical risk score, a number that tells the issuing bank how suspicious the transaction looks before it decides whether to approve or decline it. The score is generated by evaluating up to 400 data points, including the cardholder's historical spending patterns, the merchant category, the location of the transaction, the device being used, the time of day, and dozens of other signals. VAA and the companion platform Visa Risk Manager together prevented an estimated \$30 billion in fraudulent transactions over a 12 month period from July 2023 to June 2024.

Visa Risk Manager (VRM)

VRM is the platform through which banks act on the risk score generated by VAA. VRM provides a dashboard to monitor transactions, set custom rules, and manage fraud exposure in real time. The platform has four main components: Rules Manager, which allows fraud teams to build, test, and deploy custom decision rules (e.g., automatically decline any transaction over \$500 from an international merchant); Case Manager flags transactions that look suspicious for manual review by fraud investigators, organizing them by priority level; Account Management allows banks to set specific risk parameters for individual accounts and to whitelist or blacklist specific accounts as needed; and Reporting, which tracks historical fraud trends, measures the performance of custom rules, and helps fraud teams analyze which threats are growing and which have been mitigated.

Decision Manager

While VAA and VRM are designed for issuers, Decision Manager is a CyberSource-integrated AI risk solution for the merchant side of the transaction, enabling e-commerce businesses to



automatically evaluate hundreds of data points per transaction and benchmark them against Visa and CyberSource's data. It is available as part of the full CyberSource suite, and as a standalone service.

Visa Protect for A2A

A2A payments are direct transfers of money from one bank account to another (think Zelle or the ACH network). They are historically one of the most vulnerable to fraud risk. Traditional card fraud tools are designed around data accompanying a card transaction; A2A transfers have different characteristics that require a different approach for fraud protection. That's where Visa Protect for A2A comes in by providing real-time risk scoring specifically for A2A transfers, evaluating whether the destination account is likely to be fraudulent or not.

Featurespace

Featurespace is an AI-based fraud and financial crime platform that aggregates the other offerings within the risk & security portfolio onto one platform, as well as featuring standalone capabilities. Featurespace is designed to detect and prevent a wide spectrum of financial crime covering payment fraud, card fraud, merchant acquiring fraud, check fraud, and anti-money laundering compliance. Additionally, it covers application fraud, which is fraud that occurs at the account-opening stage before any transactions have been made.

Authentication

CardinalCommerce

CardinalCommerce is Visa's primary platform for its Authentication Services. Tailored towards CNP transactions, the platform implements 3-D Secure (3DS) protocols. The way 3DS works is when a purchase is initiated online, the system runs a risk assessment, evaluating signals such as the device being used, the merchant category, the transaction size, and how consistent those factors are with the cardholder's historical behavior. If the transaction looks normal, it goes through silently with no disruption. If the transaction looks unusual, the cardholder's bank asks the cardholder to confirm their identity, typically through a one-time code sent via text message, a fingerprint scan, a push notification from their banking app, or a password.

Merchants like 3DS because it shifts the financial liability to the issuing bank, however, this creates a dissonant incentive structure between the merchants and the banks. Because 3DS shifts financial liability away from the merchant and onto the bank, a merchant who relies heavily on 3DS may have a reduced incentive to invest in their own independent fraud prevention measures. Conversely, this incentivizes banks to be overly cautious and to potentially configure their 3DS systems to move to a verification step too aggressively, causing friction at checkout.

Visa's Intelligent Authorization feeds additional transaction context to banks at the moment of decision, giving banks better information so they can be less aggressive without taking on more risk. CardinalCommerce implements 3DS across Mastercard, American Express, Discover, and other card brands in addition to Visa, and across digital wallets and mobile payment applications.

Visa Secure

Visa Secure is Visa's specific version of the EMV 3-D Secure standard (the 3DS protocol jointly developed by Europay, Mastercard, and Visa). Visa Secure and CardinalCommerce work together, with the former defining the Visa-specific rules, frameworks, and cardholder protections governing authentication decisions.



Cybersecurity

Enumeration Defense

Enumeration (AKA Card testing) is when fraudsters attempt to steal card information through brute force, by using bots to submit large volumes of authorization attempts against merchant websites or payment APIs, cycling through combinations of card credentials until they obtain information that is linked to an active account. This can use up merchant processing capacity, trigger fees for declined transactions, and/or generate valid card credentials that are subsequently used or sold. Visa sells solutions such as their Visa Account Attack Intelligence (VAAI) score to help prevent these attacks. The way these systems work is by detecting unusual patterns of high-velocity failed authorization attempts, and then distinguishing them from normal levels of declined transactions. For VAAI in particular, it then generates a risk score, to which issuing banks can apply additional filters, helping mitigate disruptions caused by card testing attacks.

Device Protection

Meaningful public disclosures about the specific capabilities of this offering remain limited at this time, but based on the recently announced BioCatch acquisition (pending approval) we can gather that the solutions in this subcomponent of cybersecurity are focused on tracking user behaviors (e.g., how device users naturally type, how hard they press, etc.) to determine the likelihood of a transaction originating from a specific device being fraudulent.

Know Your Customer (KYC)

KYC is the regulatory requirement that financial institutions verify the identity of their customers prior to opening an account or processing a transaction. Visa's Featurespace platform is the most relevant business to this subsegment, specifically features like application fraud and AML monitoring.

Advisory & Other Services

Overview

This is the smallest of the four VAS portfolios by revenue (~\$1.3 billion in FY24), yet the fastest-growing, delivering mid-30% compound annual growth over the 2022–2024 period. Despite the structurally lower margins due to the labor-intensive nature, this segment is integral to the flywheel effect that Visa management so often cites. Advisory & Other Services generates revenue through engagement fees for project-based consulting and marketing work, alongside subscription fees for certain data and open banking solutions.

The primary revenue drivers are engagements, and the portfolio comprises five sub-segments: Marketing Services (the largest), Consulting, Managed Services, Data Solutions, and Open Banking (Tink).

Marketing Services

Marketing Services operates as a full-service marketing agency within Visa, staffed by >300 marketers. Visa brings three things to a marketing engagement: network-wide consumer spending data, payments marketing expertise, and exclusive access to a portfolio of global sponsorship assets across FIFA, the Olympics, Formula 1, and more.

The service operates through three main channels. Full-suite campaign execution, where Visa works as an outsourced marketer for the life of a marketing campaign (market research, creative strategy & design, execution, and post-campaign performance measurement). Brand & Trend Advisory, where Visa advises firms on trends and consumer insights shaping the industry, and guides the firm on how to grow their brand, acquire new clients, and retain their current ones via loyalty and cardholder engagement programs (which creates cross-selling opportunities). The third channel, and arguably the most important, is sponsorship activation.



Visa holds exclusive, long-standing global sponsorship relationships across some of the most globally viewed entertainment properties, with some of the most notable assets being FIFA, the Olympics & Paralympics, and Formula 1 (and prior to this year the NFL). By holding these relationships at the network level and making them accessible as a marketing service, Visa allows any client to run FIFA-co-branded card campaigns or offer cardholders access to Olympic experiences, etc.

Consulting

Core Consulting

Visa's Core Consulting practice encompasses consulting in payments strategy, portfolio optimization, digital strategy, risk advisory, AI, cybersecurity, and stablecoins. Over the past ten years, Visa's consulting teams have driven clients in 34 countries to successfully migrate ~150 million cards from competing networks to Visa.

Data Science

Visa's Data Science consulting practice focuses on the delivery and implementation of analytics strategies and data solutions for clients by leveraging Visa's petabytes of transaction data. Teams of economists, data scientists, and analysts work directly with clients to develop and implement analytics strategies for their specific businesses.

Product Design

The Product Design practice is designed to advise and assist clients through the design and building of payment products, from concept to implementation.

Managed Services

Visa's Managed Services focus on execution. Instead of writing up a recommendation on the best course of action surrounding a goal, Visa physically embeds employees inside the client's organization to see key initiatives through. The managed services team engages in activities spanning product implementation, systems integration between client tech stacks and Visa's various platforms, and ongoing risk optimization. The on-site model provides Visa's team with granular details on the day-to-day operations, client systems, priorities, constraints, and organizational dynamics that an external advisor couldn't gather. Further, this gives Visa's teams clear visibility on where additional cross-selling opportunities are present within the client organization.

Data Solutions

Data Solutions offers pre-built, subscription-based payment insights and data directly to clients, providing continuous access to Visa's transaction data without requiring direct contact with Visa. The offerings encompass portfolio management, fraud monitoring, digital payment performance, and operational metrics and are accessible to issuers, their corporate clients, and with third-party reporting and financial systems (requires approval). To give a couple examples of what is contained in this suite of products, Visa Analytics Platform (VAP) is a web-based portal with a host of pre-built features that enables a bank's analyst to pull data on their card portfolio and benchmark it against the performance of their peers. The Visa Business Data Solutions API allows issuers and their clients to directly pull commercial transaction data, and integrate it into their own reporting and financial systems.

Open Banking

Tink

Open banking is a system that enables the sharing of bank data and transaction history with third parties, upon consumer consent. The issue that arises is that a financial institution would have to build a separate integration with every individual bank that it would want to connect



to. Tink is Visa's solution to this issue, by providing a single unified API connection that can reach thousands of banks and financial institutions across at least 18 countries.

Tink's offerings enable consumers to initiate A2A transfers; give permission to a third-party provider to make a series of payments from their bank account at variable amounts and intervals with only one strong customer authentication step when setting it up; fast settlement and confirmation of payments; issue instant, automated user withdrawals, partial refunds, or full refunds through API calls; aggregate account data and estimate the risk of an applicant via risk and credit decisioning, and more.

FIFA World Cup 2026 Case Study

Visa's F3Q26 was defined by the contribution to VAS growth from the 2026 FIFA World Cup. Over the F3Q26 TTM, Visa delivered more than 300 FIFA engagements to more than 240 unique clients across 70 markets, with ~20% of those clients utilizing Visa's marketing services for the first time. In Brazil, a leading bank partnered with Visa to launch a card promo, in which cardholders could enter to win match tickets for every BRL100 spent, with new cardholders having a higher chance of winning tickets. The campaign ran from February to June 2026, generated one million cardholder participants, an 8% lift in card activation, and \$400 million in incremental payments volume. In Mexico, the launch of a new FIFA co-branded card drove issuance of nearly 400,000 new debit cards and more than 250,000 new credit cards from a single issuer. Five joint campaigns structured around Team Mexico game days, with transaction rewards that multiplied upon a win, drove a more than 5x increase in average transaction size. When card activations rise 8%, those newly active cards generate more processed transactions, increasing Issuing Solutions revenue. When average transaction sizes quintuple, every per-transaction VAS fee attached to those transactions multiplies as well.

Mastercard's VASS Portfolio

Security Solutions

Overview

Security Solutions is Mastercard's largest VASS (Value-added Services and Solutions) segment by revenue, as per management's commentary at the 2026 Evercore Global TMT Conference. The Cybersecurity component of Security Solutions is a key driver of their VASS portfolio and strategy, driven by the rising growth of e-Commerce, globally, especially as fraud grows increasingly sophisticated. The segment has operations across the entire payments' lifecycle: before, during, and after a transaction. Furthermore, they have increasingly focused on making their products network-agnostic, even in non-payment use cases (e.g., Recorded Future for Enterprise Cybersecurity).

The primary revenue drivers are network-linked transactions, with a high degree of recurring revenue. The segment is split into 3 buckets: Cybersecurity & Resiliency, Identity Management, and Safety & Security.

Cyber Quant, RiskRecon, Cyber Front

Cyber Quant is Mastercard's platform solution that measures how mature and financially exposed an organization is to cyber risk. It works by assessing security controls across an organization's capital (people, processes, technology) and benchmarks them against global frameworks (NIST, ISO 27001, CIS). The platform also features a "what-if" simulation capability that measures a firm's financial exposure to cyber risk, which generates a quantifiable dollar figure that can be clearly communicated to non-technical decision makers. RiskRecon is a due diligence solution focused on third-party risk, which is the cybersecurity risk exposure brought on by working with outside vendors. It scans the public-facing internet presence of any organization every two weeks; builds a profile of their software, infrastructure, and



configurations; and scores them across security domains. It then generates a prioritized action plan showing which issues need fixing.

Cyber Front provides security validation across three modules: Security Control Validation (SCV), Attack Path Validation (APV), and Attack Surface Validation (ASV). SCV runs automated simulations of 4,000+ known attack techniques (across endpoints, networks, email, and data) without touching production systems, produces a dashboard showing what was blocked, what was detected, and where gaps exist, and generates recommendations. APV deploys AI agents that mimic attacker behavior to trace and visualize every possible route from initial access to critical assets, and generates a visual map of attack paths, identifies control gaps, and prioritizes which vulnerabilities need to be patched. ASV automatically discovers, classifies, and continuously maintains an inventory of all internal and external digital assets, pulls vulnerability data from integrated tools (e.g., CrowdStrike) and scores every asset's risk exposure based on severity, exploitability, and business impact.

Threat Protection (formerly Baffin Bay)

Threat Protection is a cloud-based platform that filters and cleans internet traffic to protect against DDoS attacks, malicious bots, and web app exploits. Traffic is routed through global Threat Protection Centers, which checks it against hourly-updated feeds of known malicious IP addresses derived from attacks mitigated by the platform and a global sensor network. Protection operates at the network layer (DDoS mitigation) and the application layer (Web App Firewall [WAF]). The platform deploys in-cloud, on-premises, or in hybrid environments with flat-fee pricing.

Recorded Future

Acquired in late 2024, Recorded Future is the world's largest threat intelligence firm. The platform is subscription-based and network agnostic, serving >1,900 customers across 75 countries, including more than half of the Fortune 100 and 45 government agencies, as of September 2024. Prior to the acquisition, Mastercard already had threat intelligence capabilities through products like RiskRecon, Cyber Quant, Cyber Front and more; however, Recorded Future significantly deepened and scaled their existing capabilities, addressable market, and topped up the portfolio with complementary proactive, offensive intelligence capabilities. The platform's capabilities are broad and span a whole suite of threat intelligence.

Cyber Operations enables organizations to visualize which specific threat actors and malwares are the highest risk to a firm by mapping threats onto a graph with intent and opportunity axes that are personalized to the firm's specific tech stack. Analysts can create watchlists, access pre-built Sigma/YARA/Snort hunting rules (detection signatures used by security analysts to spot threats across different layers of an IT environment) from unified threat actor profiles (consolidated across all known aliases), and analyze 1.5 million+ daily malware samples and 350+ malware families mapped at the code-implementation level with MITRE ATT&CK. Digital Risk Protection monitors the surface, deep, and dark web for phishing domains, brand impersonation, exposed source code, and stolen credentials, with one-click takedown coordination built in. Identity Intelligence monitors infostealer malware logs for stolen employee and customer credentials, surfacing metadata on compromised accounts (authorization URL, impacted technology, hashed passwords, unexpired cookies) and integrating directly with Identity and Access Management (IAM) platforms like Microsoft and Okta. Third-Party Risk generates standardized security ratings across nine domains with live threat intelligence (ransomware activity, dark web exposure, malicious traffic analysis to adversary infrastructure) to show which vendors currently pose material risk, replacing questionnaires with automated AI assessments that considerably speed up cycle times with integrations into ServiceNow, Archer, and OneTrust. Payment Fraud tracks stolen card data across the full fraud lifecycle from initial Magecart compromise (a type of cyberattack where



hackers inject malicious JavaScript code into online checkout pages to steal customers' credit card numbers, passwords, and personal data) through dark web postings to cards sold and tester merchants used to validate stolen credentials, enabling BIN-level monitoring and early-warning signals before fraud occurs.

Cyber Crisis Exercise

Cyber Crisis Exercise is a consulting activity in which advisors leverage Mastercard's suite of tools & intelligence to simulate a cyber-attack on the client's firm. The attackers and attack methods are chosen based on the likelihood of impact on the client firm, as well as feedback from the client on common attacks and/or the need to comply with specific cybersecurity standards. After the parameters for the simulation are set, participants are split into teams and tested with interrelated mock cyber incidents run simultaneously. Team responses are recorded and impact the next set of actions and consequences in the simulation. At the close of the exercise, teams join a debrief session to discuss key strengths and areas of improvement. Following the debrief, a "lessons learned" report is shared with the firm, containing performance ranking, peer benchmarks, and recommendations for moving forward.

Mastercard ID Theft Protection

Mastercard ID Theft Protection is an identity protection service that offers proactive monitoring, alerts, and self-resolution resources to help protect a client's personal information. Through an online dashboard, users can monitor their profile, access ID theft protection tips, and respond to alerts, with the service covering a broad range of credentials (e.g., SSN, email addresses, bank account numbers, phone numbers, health and dental cards, etc.). Monthly risk alerts and tips keep clients up to date on common identity related threats and protections available to them, and Mastercard Liability Protection provides additional coverage against unauthorized transactions and identity theft. The way it works is by having digital security teams search the internet for compromised credentials and potentially damaging use of personal info, as well as conducting a historical review to surface any previously unknown incidents of identity theft. If a client's information appears in suspicious circumstances, alerts are sent out to the client for them to review the details, and dismiss or flag alerts requiring attention, directly from the dashboard. To support resolution, a comprehensive Identity Theft Protection Kit is provided that covers common forms of identity theft along with prevention advice, sample letter templates, and resolution resources.

Mastercard Risk Decisioning

Mastercard Risk Decisioning is a personalized fraud decisioning platform that provides updated intelligence on any entity (e.g., card, account, merchant, etc.) to reduce false-positive rates, while improving detection of true fraud. It utilizes Mastercard's global network data to build its fraud models, with pre-built, ready-to-use models, APIs, and platforms that can be deployed immediately with little to no custom model training, as well as custom models built in six to eight weeks using Mastercard's data science and machine learning tools. These models automatically find patterns in the data to identify low-fraud customer groups and spot unusual activity across channels. The platform scores billions of transactions per month with millisecond response times, runs on a resilient architecture delivering 99.9999% uptime with flexible cloud or on-premises deployment, and is built with strong security and privacy protections, clear explanations of its decisions, and constant data innovation.

Ethoca

Ethoca is a suite of tools that helps merchants and issuers manage fraud and customer disputes. Its Consumer Clarity product reduces unnecessary disputes by showing cardholders exactly what a charge was for directly inside their banking app. It works by having merchants share enriched transaction data, such as merchant name, logo, itemized receipts, and



subscription details, with Ethoca's network, which passes it to the cardholder's bank app so customers can recognize charges without calling their bank. It also offers subscription management for customers directly in their banking channels. Its Alerts product lets merchants resolve potential fraud or dispute situations instantly, before they become formal chargebacks. When a cardholder contacts their bank about a suspicious charge, the bank sends a near real-time alert through Ethoca's global network of thousands of merchants and issuers, and the merchant can then immediately issue a refund or confirm the transaction, resolving the issue in minutes, avoiding the formal dispute process.

Crypto Secure

Crypto Secure helps banks and card issuers manage the compliance, regulatory, reputational, and fraud risks that come with their cardholders using cryptocurrency platforms. It provides a dashboard showing cardholders' crypto spending activity, transaction volumes, and an anti-money laundering (AML) risk rating for each crypto exchange or virtual asset service provider (VASP) where cardholders are transacting. Banks can use these risk ratings to make more informed decisions about which crypto transactions to approve or block, for example, identifying that previously declined transactions came from low-risk exchanges and could safely be approved.

A2A Transaction Fraud Monitoring

A2A Transaction Fraud Monitoring protects issuers and their customers from fraud on bank-to-bank transfers, including P2P payments, digital wallet transactions, and QR code payments, specifically targeting scams like social engineering, authorized push payment fraud, and account takeover. It works by building custom AI models using the client's own historical transaction data, which are then deployed to score each A2A transaction for the likelihood of fraud or scam activity. Results feed into a Business Insights module for reporting and a Case Management module for investigating and resolving alerts.

Cross-Border Fee Manager

Cross-Border Fee Manager lets banks set and adjust the fees they charge cardholders for international transactions based on their portfolio strategy and risk appetite. Banks configure fees through a self-service online module, choosing from a range of parameters: fees can be set as a percentage, fixed amount, or both, and differentiated by transaction type, currency, account range, or whether the transaction is regional versus international, with customization available for up to three specific currencies. Changes can be made on the fly without requiring any system development work.

Consumer Acquisition & Engagement Overview

Consumer Acquisition & Engagement focuses on driving customer acquisition, increasing activation, deepening engagement, and building loyalty, as per Mastercard's FY25 10-K. The segment is underpinned by Mastercard's proprietary spend data and a global team. Nearly three-quarters of consulting and marketing services customers from 2024 returned the following year, and many embed these services directly within customer business agreements, tying them to payments volume growth and making the revenue stream stickier than the engagement-based model might otherwise suggest.

The primary revenue drivers are engagement-based and platform-based transactions, with a low to moderate level of recurring revenue, as per the Investment Community Day 2024 slide deck. The segment is split into 3 buckets: Marketing Services, Loyalty, and Personalization.



Marketing

Mastercard's Marketing services center around assisting firms with acquiring new customers, increasing customer engagement, and retaining customers. Acquisition helps clients acquire high-value customers through data-driven marketing strategies. It covers go-to-market strategy and product launch, new customer acquisition, and cross-selling to existing customers. Engagement covers early engagement (building trust early), spend optimization (driving higher purchase volumes), and top-of-wallet behaviors (encouraging primary card usage through targeted incentives). The Performance Engine helps clients improve marketing results across the entire funnel, from getting new customers to keeping existing ones engaged. Rather than running one-off campaigns, it operates continuously, adjusting what it does based on what's working and what isn't at each stage of the customer relationship. It draws on Mastercard's anonymized transaction data and best practices built up across thousands of client engagements globally to guide its decisions, with a focus on improving meaningful KPIs.

Loyalty

Mastercard's Loyalty suite helps clients retain and deepen cardholder relationships by providing the infrastructure to manage and redeem loyalty points across a range of categories, apply points as real-time payment at the point of sale, run card-linked promotional campaigns, and push digital credits or instant payouts directly to a consumer's card. Rewards enables brands to design, launch, and manage loyalty programs that build long-term customer relationships across the full program lifecycle. Global redemption suite gives cardholders flexible ways to redeem loyalty points across multiple categories, such as: Pay (spend points like cash pre- or post-purchase), Shop (online storefront for merchandise and gift cards), Travel (airlines, vacation rentals, car rentals), Gaming (in-game purchases for hundreds of PC and mobile games), with Experience (via Priceless.com) and coming soon the ability to Invest in crypto. Promotions drives cardholder engagement through automatic card-linked cashback and points rewards, where issuers select the promotion rules and target audience and Mastercard handles the rest, with no merchant integration required, built-in reporting for real-time campaign optimization, and the ability to launch in weeks.

Personalization

Personalization is delivered through Mastercard's Dynamic Yield platform. Experience OS is the core product, connecting personalization, recommendations, messaging, testing, and analytics in one system, with a single AI core that reads behavior and context to adjust experiences in real time. Experience OS Agents are built into the platform and handle campaign planning, reporting, testing, and content creation, and flag opportunities and anomalies. Shopping Muse is a conversational AI assistant that uses NLP, image recognition, and personalization algorithms to walk shoppers through large catalogs and tailor results. Experience Search combines semantic and visual search with affinity profiles and AI-trained auto-complete, with results adjustable to business goals like return rates and margins. Experience APIs support server-side A/B testing, deep-learning recommendations, feature flagging, and headless deployment. Commerce Media connects Mastercard's commerce signals to digital advertising on both sides of the market: for advertisers, it builds dynamic audiences and uses card-linking technology to tie ad exposure to verified purchases for closed-loop attribution across 25,000+ marketers; for publishers, it layers those same signals onto existing ad inventory.

Business & Market Insights

Overview

Business & Market Insights provides data, analytics, and advisory services that help clients make better decisions, optimize operations, and manage risk, drawing on Mastercard's



proprietary transaction data, AI and machine learning tools, and a global consulting practice of over 3,000 advisors (as of the 2024 investment community meeting).

The primary revenue drivers are engagement-based and network-linked transactions, with the segment split into 3 buckets: Payment Operations, Consulting, and Analytics & Insights.

Insights Advisory Functions

The Mastercard Economics Institute is comprised of a team of regional economists and a chief economist, that perform consumer-centric analyses of the macro landscape utilizing Mastercard's proprietary data, data science, machine learning, and visualization. From this analysis, they offer economic consulting (subscription & bespoke projects), expert commentary & keynote presentations, and a public research library.

Test & Learn is Mastercard's business experimentation platform and/or consulting service that enables clients to test ideas, measure results, and implement what sticks. It comes in 3 different forms: a self-service platform that enables businesses to design, run, and scale experiments independently; a consulting engagement, in which a team of Mastercard consultants provide strategic guidance, expertise, and best-practice methodologies to clients, and; a hybrid of the two. It works by a client defining what they are testing, then AI models help speed up the test setup, then, based on the results, client firms are able to measure the performance of what they were testing, and identify where results were strongest across channels, customer segments, or locations.

Mastercard Advisors creates, evaluates, and converts strategies into detailed transformation plans across the product lifecycle. It has three core offerings: Benchmarking & Diagnostics (benchmarks progress against industry/peer standards), Digital Safari (a guide for digital best practices), and Strategy Spark (informs C-suite thinking through actionable digital transformation strategies). Advisors serve financial institutions, large merchants, and fintechs.

SpendingPulse

SpendingPulse is Mastercard's data and market intelligence platform that measures and provides near real-time estimates and insights on total retail sales across in-store and online shopping at the national, regional, and local levels. The data is sourced from anonymized aggregate sales activity in the Mastercard network and modeled to reflect total sales across all payment types and networks. The platform further provides daily metrics, refreshed weekly with a 5-to-7-day lag, as well as providing sector-level forecasts for the next 18 months. It primarily serves CPG, financial institutions, public sector, retail, restaurants, and travel/hospitality, and is frequently sold in a bundle with the Test & Learn platform and the Economics Institute services.

Credit Analytics

Encompasses a suite of metrics aimed at improving lending decisions, across acquisition, underwriting, credit line assignment, and monitoring. Credit Analytics include custom delinquency scores, Mastercard Transaction Metrics (card-level metrics for credit risk, operational risk, and marketing), and custom delivery solutions leveraging data, advanced analytics, and scalable infrastructure. Additionally, they offer a credit analytics solution tailored to small business lending across the lifecycle, from customer acquisition to know-your-business to verification, underwriting, and business monitoring. Underwriting uses weekly sales performance, trend data, spend per card, ticket size, and chargebacks. Monitoring tracks sales pattern shifts for dynamic line assignments and risk rating updates.



Acquirer Analytics Suite

Mastercard's suite of tools consisting of Smart Leads, Acquirer Intelligence Center (AIC), and Acquiring Optimizer. These tools assist acquirers in identifying merchant prospects, analyzing the acquirers' current portfolios, and strengthening engagement and relationships among them and their merchants. Smart Leads identifies high-potential merchant prospects using location-based data by zip code, provides heat maps with filtering by category/card status/time, GDV, and transaction volume indicators, and merchant contact details. AIC is a web-based self-service analytics platform that gives acquirers and facilitators insights into their merchant portfolio performance. It covers authentication, authorization, declines, fraud, chargebacks, interchange, and digital metrics. Features include centralized analytics, data-driven alerts, flexible breakdowns by merchant category/time/channel/geography, and dedicated support. Acquiring optimizer helps acquirers grow and strengthen merchant relationships by identifying revenue potential and optimizing merchant engagement. It uses "advanced segmentation" to uncover growth opportunities and flag at-risk accounts, and it generates targeted, actionable plans aligned to the acquirer's merchant mix.

Truata AI Ready

Detects and mitigates bias in AI training data before the model is deployed. Truata works by standardizing data bias assessments with risk scoring dashboards for structured and semi-structured datasets. It quantifies the level of bias, delivers consistent risk scores at scale, provides audit-ready reports, and enables continuous monitoring of data pipeline bias.

Other Services

Overview

Comprised of Digital, Authentication, and Gateway & Processing, this segment of the portfolio covers tokenization, digital enablement/checkout services, authentication services, issuer processing solutions, and payment gateways. These capabilities operate across all digital channels including in-store environments, e-commerce platforms, and agentic interfaces. Tokenization is a particularly important growth driver within this segment as each tokenized transaction generates incremental service revenue at high incremental margins with higher approval rates (3-6ppt lift versus non-tokenized transactions). The segment has become increasingly central to Mastercard's forward-looking strategy as new commerce surfaces emerge, with Agent Pay extending tokenization and authentication into agentic commerce and Merchant Cloud unifying gateway, security, and data services into a single integration point for merchants.

The primary revenue drivers are network-linked transactions, with a high degree of recurring revenue. As previously mentioned, the segment is split into 3 buckets: Digital, Authentication, and Gateway & Processing.

Mastercard Digital Enablement Service (MDES)

Mastercard's core tokenization platform that replaces PANs with digital tokens to prevent identity fraud and enable secure digital payments. MDES is a single integrated platform for issuers, wallet providers, merchants, and other token requestors to digitize supported Mastercard card types across digital payment methods. It works in four steps: tokenization replaces the PAN with a token; the token is assigned to a specific platform, wallet, or device; digitization (the specific process that takes a traditional payment card and provisions its corresponding token onto a target device or platform) occurs; the token is then used for transactions instead of the PAN. The platform offers APIs for issuers (Pre-Digitization, Customer Service, Token Connect, Authentication Facilitator) and for merchants/PSPs (Digital Enablement API, Bulk Tokenization, Token Requestor Identifier). Further, it provides a single



connection to all major digital wallets and growing digital channels. The platform can be launched in-market within 4-6 months.

Mastercard One Credential

Mastercard One Credential is an issuer solution that enables issuers to provide cardholders with a single, digitally connected credential that gives cardholders a choice of multiple payment methods (e.g., debit, credit, prepaid, installments, etc.) configured to their preferences from one digital credential. Further, this can be done straight within their banking app. Functionally, this eliminates the need for multiple cards or credentials. Issuers can cross-sell additional products to customers with proven history. Simple integration requires minimal lift for processors and acquirers.

Mastercard Identity Check

Identity Check is Mastercard's 3DS authentication solution. It integrates into the transaction flow to deliver secure authentication. Like Visa's 3DS solution, it analyzes a transaction, and if nothing is suspicious the transaction is pushed without notifying the consumer, if the payment is flagged as potential fraud, then the consumer receives a notification and is required to act in some form to authenticate the payment. Identity check covers three use cases: payment (standard e-commerce purchases), non-payment (cardholder validation where no financial transaction occurs), and 3D Secure Requestor-Initiated authentication (i.e., 3RI) which is 3DS protocol feature that allows merchants to authenticate online transactions in the background without the direct, active involvement of the customer.

Mastercard Agent Pay

Agent Pay is how Mastercard handles agentic commerce, where an AI agent initiates a transaction on the consumer's behalf rather than the consumer or merchant doing so directly. It uses four capabilities built on Mastercard's existing tokenization infrastructure: registering and verifying agents so issuers can distinguish legitimate agents from bots, attaching agentic tokens to every transaction so all parties in the payment chain know which agent initiated it, cryptographically passing the consumer's authentication from the agent's site through to the merchant and issuer, and capturing a tamper-resistant record of the consumer's original intent (called Verifiable Intent, developed with Google) so that traditional chargeback and dispute processes still work. Because the product sits on top of existing rails, Mastercard's standard protections (zero liability, tokenization, dispute resolution) apply to agentic transactions without requiring changes at the merchant. Agent Pay for Machines is a separate product for machine-to-machine payments at sub-5ms velocity, where AI agents autonomously purchase digital services like APIs, compute, and data, using on-chain permissioning and off-chain settlement.

Contactless Payment Solutions

Contactless payments span both in-store and online checkout experiences. In the physical world, Tap & Go lets consumers make purchases by tapping their card, phone, or wearable at the point of sale, completing transactions ~10x faster than most other face-to-face methods, with each transaction encrypted by a unique dynamic cryptogram and the card never leaving the consumer's hand; the technology is compatible with Apple Pay, Google Pay, and Samsung Pay, and extends to Tap on Phone/SoftPOS, which lets businesses accept contactless payments directly from a device without additional hardware. In the online world, Click to Pay is a password-free guest checkout experience built on EMVCo's Secure Remote Commerce specifications, where consumers are recognized by email or phone, presented with their saved cards, and complete payment without additional clicks or passwords; it is network-agnostic, uses tokenization to replace PANs with secure credentials.



Merchant Cloud

Merchant Cloud is a unified payments platform that provides merchants, acquirers, PSPs, ISVs, and marketplaces with a single integration point to access Mastercard's suite of commerce services, including payment gateway processing, tokenization, fraud prevention, authentication, and approval rate optimization. The platform connects to 240+ acquirers and supports 35+ payment methods across omnichannel environments (in-store, online, in-app). Rather than requiring clients to integrate separately with each individual Mastercard service, Merchant Cloud bundles them into one open, modular platform, allowing clients to select the specific capabilities they need.

Other Solutions

Instant Payment Service

Mastercard's infrastructure for processing bank-to-bank payments in real time, around the clock. It is the technology that runs the real-time payment systems in ~11 countries, including the UK (Faster Payments, live since 2008), the US, Thailand, Saudi Arabia, the Philippines, and Peru. The system clears and settles payments instantly so that the recipient has access to funds immediately. It processes ~54,000 account-to-account transactions per minute. The platform supports multiple currencies, payment types (person-to-person, business-to-business, government disbursements), and deployment configurations (multiple data centers and cloud zones) from a single deployment. It uses the ISO 20022 messaging standard, which is the global standard for structured financial data exchange. Additional services built on top of the core infrastructure include a proxy directory (so people can send payments using a phone number or email instead of a bank account number), bulk payment processing for high-volume transactions, fraud prevention tools, liquidity monitoring, account verification, and request-to-pay functionality.

Mastercard Bill Pay

Mastercard Bill Pay is a platform that connects billers (companies that send bills, like utilities or insurers), banks, and consumers to streamline the bill payment process. It allows consumers to view, manage, and pay their household and personal bills directly within their bank's app, rather than having to visit each biller's website or use separate payment methods. The platform works by registering billers and their banks onto Mastercard's system (called RPPS, or Remote Payment and Presentment Services), then facilitating the flow of bill information and payments between them. For billers, it provides better visibility into payment status and cash flow. For banks, it gives them a bill payment feature to offer inside their apps. The biller onboarding process is automated via API, eliminating manual data entry and allowing thousands of billers to be enrolled in a single business day.

Mastercard Cross-Border Services

Mastercard Cross-Border Services is the infrastructure that enables financial institutions to send money across borders through Mastercard's network. It provides a single API connection through which banks and third-party providers can initiate cross-border fund transfers across multiple payment types (person-to-person, business-to-person, business-to-business, and person-to-business). The system handles foreign exchange conversion (both wholesale and retail rates), settlement between the sending institution and Mastercard, and transaction reporting and reconciliation. The sending institution connects to the API and initiates a transfer on behalf of the sender; Mastercard routes the funds to the receiving system that holds the recipient's account. Recipients can include consumers, businesses, nonprofits, mobile money agents, and cash-out locations. This is part of the broader Mastercard Move cross-border money movement platform, which has access to over 17 billion endpoints globally. The recent acquisition of BVNK layered stablecoin infrastructure onto this cross-border framework, enabling clients to move fiat and digital currencies across a single network.



Open Finance Solutions

Open Finance Solutions is Mastercard's open banking platform that enables third parties, with the consumer's permission, to access bank account data and initiate account-based payments. The platform connects to over 95% of US deposit accounts and 3,000+ banks across Europe. The products fall into three categories: Payments, Data, and Insights.

Payments products

Payments products handle account-based money movement. Bill Pay Switch uses open finance connections to identify a consumer's recurring payments (utilities, subscriptions, etc.) at their old bank and automatically updates those payment methods to point to their new account, so nothing gets missed during a bank switch. Deposit Switch lets consumers redirect their direct deposit (paycheck) to a new bank account through a few clicks inside the bank's app, without having to fill out payroll forms or contact their employer. It covers 85%+ of US payroll providers, spanning ~550 providers supporting 2.2 million employers. Payment Success Indicator uses machine learning to analyze a consumer's account balance, history of non-sufficient funds (NSF), and other signals to produce a predictive risk score (on a 100-point scale) for each of the next 10 days, indicating whether an ACH payment initiated on that day is likely to succeed or fail. It captures up to 85% of NSF failures by flagging high-risk transactions before they're attempted.

Data products

Data products pull and organize bank account information. Transactions retrieves account balances, categorized and cleaned transaction data, normalized merchant names, pending transactions, and investment positions directly from financial institutions via API, with customizable date ranges and real-time refreshes. It is FCRA-compliant (meaning the data meets legal requirements for use in credit decisions) and provides up to 24 months of transaction history. Investments pulls consumer-permissioned investment account data across 25 account types (taxable investment, retirement, education, etc.) covering 99% of the top 20 wealth management platforms by AUM, enabling banks and advisors to see a client's full investment picture for things like cross-selling, rollover identification, and personalized financial advice. Statements retrieves the previous month's bank statement as a structured data pull or PDF, including transactions, account balances, address, and investment positions, also in an FCRA-compliant format. Data Enrichment takes raw transaction data from any account type (checking, savings, credit card) and uses Mastercard's AI to categorize transactions, normalize merchant names, and add merchant logos and location information from Mastercard's merchant database, turning messy bank feeds into clean, usable data. Account Balance Verification provides a real-time check of a consumer's account balance via API before a payment, funding event, or account setup is initiated, reducing payment failures and overdraft fees. Account Aggregation pulls up to two years of transaction and account history in a single API call, providing income deposits, expense categorization, normalized merchant names, transaction descriptions, and account balances as a one-time historical snapshot. Account Details instantly verifies a consumer's routing number and account number via API, confirming the account is real and belongs to the right person before an ACH payment is initiated. It is Nacha WEB debit rule compliant.

Insights products

Employment Verification confirms a person's employment status using bank data. Income Verification analyzes bank transaction data to verify a consumer's income for lending decisions, and the underlying models are continuously updated. Verification of Assets provides a real-time, bank-validated view of a consumer's liquid assets. Cash Flow Analytics analyzes income and expense patterns from bank data to support lending underwriting and monitoring. Credit Risk Scoring generates credit scores based on cash flow data rather than traditional credit bureau scores, enabling lenders to assess consumers who may have thin or no credit



files. Account Owner Verification confirms who owns a bank account at the point of account opening, reducing fraud. Engagement Intelligence Suite transforms raw transaction data into metrics that measure customer engagement and activity levels.



Company Profiles



Mastercard Incorporated

Daniel R. Perlin (Analyst)

Outperform

NYSE: MA US; USD 567.50

Price Target USD 696.00

Key Statistics

Shares O/S (MM):	883.0	Market Cap (MM):	501,103
Dividend:	3.04	Yield:	0.5%
		Avg. Daily Volume:	2,977,772

RBC Estimates

FY Dec	2024A	2025A	2026E	2027E
Revenue	28,167.0	32,791.0	37,394.0	42,480.0
Prev.			37,400.0	
EPS, Rpt Diluted	14.60	17.01	20.07	23.20
P/Rpt EPS	38.9x	33.4x	28.3x	24.5x
EBITDA	17,348.0	20,544.0	23,775.0	27,085.0
Revenue	Q1	Q2	Q3	Q4
2025	7,250.0A	8,133.0A	8,602.0A	8,806.0A
2026	8,398.0A	9,277.0A	9,702.0E	10,017.0E
Prev.				10,023.0E
2027	9,511.0E	10,533.0E	11,034.0E	11,402.0E
EPS, Rpt Diluted				
2025	3.73A	4.15A	4.38A	4.76A
2026	4.60A	5.04A	5.23E	5.21E
2027	5.23E	5.78E	6.03E	6.17E

All values in USD unless otherwise noted.

Priced as of prior trading day's market close, EST (unless otherwise noted).

Valuation

Our price target of \$696 is 30x our CY27 EPS estimate, generally in line with its historical average. Underlying our estimates are expectations for: 1) near-term pressure before a rebound to double-digit growth in purchase volumes, with modest pricing and secular growth; 2) double-digit increases in transaction revenues; 3) near-term pressure on cross-border revenue growth; and 4) relatively flat client incentives as a percentage of gross revenues. Our price target supports our Outperform rating.

Investment summary

We believe MA is a core long-term holding and an “indexed” way to play payments and benefit from three global secular mega-trends: 1) global consumption; 2) global digitization of payments; and 3) global innovation, which is creating new payment flows. We note that ~67% of its TAM is from new payment flows, beyond the classic cash-to-card conversion, while we forecast service revenues to grow 2x the carded-market and are heavily focused on cyber-intelligence/security and data analytics/services, both long-term secular themes.

Risks to rating and price target

A slowdown in payment volumes and cross-border travel (from such things as a global recession), increased regulatory scrutiny, or a pushback from large financial institutions on pricing could impede achievement of our price target and rating.



Mastercard, Inc.

Earnings Model (\$ in millions except per share amount)

	Mar-24 Q1-24A	Jun-24 Q2-24A	Sep-24 Q3-24A	Dec-24 Q4-24A	FYE 2024A	Mar-25 Q1-25A	Jun-25 Q2-25A	Sep-25 Q3-25A	Dec-25 Q4-25A	FYE 2025A	Mar-26 Q1-26A	Jun-26 Q2-26A	Sep-26 Q3-26E	Dec-26 Q4-26E	FYE 2026E	Mar-27 Q1-27E	Jun-27 Q2-27E	Sep-27 Q3-27E	Dec-27 Q4-27E	FYE 2027E
Revenue																				
Payment Network	\$3,920	\$4,375	\$4,629	\$4,411	\$17,335	\$4,432	\$4,945	\$5,179	\$4,920	\$19,476	\$4,948	\$5,451	\$5,663	\$5,432	\$21,493	\$5,440	\$6,019	\$6,267	\$5,991	\$23,717
y/y change	7%	7%	10%	13%	10%	13%	13%	12%	12%	12%	12%	10%	9%	10%	10%	10%	10%	11%	10%	10%
Value-added services & solutions	2,428	2,586	2,740	3,078	10,832	2,818	3,188	3,423	3,886	13,315	3,450	3,826	4,039	4,585	15,901	4,071	4,515	4,766	5,411	18,763
y/y change	16%	18%	18%	16%	17%	16%	23%	25%	26.3%	23%	22%	20%	18%	18%	19%	18%	18%	18%	18%	18%
Net Revenue	\$6,348	\$6,961	\$7,369	\$7,489	\$28,167	\$7,250	\$8,133	\$8,602	\$8,806	\$32,791	\$8,398	\$9,277	\$9,702	\$10,017	\$37,394	\$9,511	\$10,533	\$11,034	\$11,402	\$42,480
y/y change	10.4%	11.0%	12.8%	14.4%	12.2%	14.2%	16.8%	16.7%	17.6%	16.4%	15.8%	14.1%	12.8%	13.8%	14.0%	13.3%	13.5%	13.7%	13.8%	13.6%
Operating Expenses:																				
General & Administrative	2,286	2,418	2,554	2,745	10,003	2,523	2,766	2,923	3,106	11,318	2,837	3,082	3,221	3,486	12,626	3,189	3,473	3,636	3,934	14,232
% of revenue	36.0%	34.7%	34.7%	36.7%	35.5%	34.8%	34.0%	34.0%	35.3%	34.5%	33.8%	33.2%	33.2%	34.8%	33.8%	33.5%	33.0%	33.0%	34.5%	33.5%
Advertising & marketing	116	184	220	295	815	152	213	245	319	929	153	217	262	361	993	181	263	309	410	1,163
% of revenue	1.8%	2.6%	3.0%	3.9%	2.9%	2.1%	2.6%	2.8%	3.6%	2.8%	1.8%	2.3%	2.7%	3.6%	2.7%	1.9%	2.5%	2.8%	3.6%	2.7%
Depreciation & Amortization	216	225	225	231	897	275	281	290	297	1,143	299	309	311	313	1,232	315	317	319	321	1,272
% of revenue	3.4%	3.2%	3.1%	3.1%	3.2%	3.8%	3.5%	3.4%	3.4%	3.5%	3.6%	3.3%	3.2%	3.1%	3.3%	3.3%	3.0%	2.9%	2.8%	3.0%
Total Operating Expenses	2,618	2,828	2,999	3,271	11,715	2,950	3,260	3,458	3,722	13,390	3,289	3,608	3,794	4,160	14,851	3,685	4,053	4,264	4,665	16,667
% of revenue	41.2%	40.6%	40.7%	43.7%	41.6%	40.7%	40.1%	40.2%	42.3%	40.8%	39.2%	38.9%	39.1%	41.5%	39.7%	38.7%	38.5%	38.6%	40.9%	39.2%
EBITDA	3,946	4,358	4,595	4,449	17,348	4,575	5,154	5,434	5,381	20,544	5,408	5,978	6,219	6,171	23,775	6,141	6,797	7,089	7,058	27,085
% margins	62.2%	62.6%	62.4%	59.4%	61.6%	63.1%	63.4%	63.2%	61.1%	62.7%	64.4%	64.4%	64.1%	61.6%	63.6%	64.6%	64.5%	64.3%	61.9%	63.8%
Operating Income	3,730	4,133	4,370	4,218	16,451	4,300	4,873	5,144	5,084	19,401	5,109	5,669	5,908	5,858	22,543	5,826	6,480	6,770	6,737	25,813
% margins	58.8%	59.4%	59.3%	56.3%	58.4%	59.3%	59.9%	59.8%	57.7%	59.2%	60.8%	61.1%	60.9%	58.5%	60.3%	61.3%	61.5%	61.4%	59.1%	60.8%
Investment income	95	60	76	96	327	88	70	81	86	325	81	88	93	93	355	93	93	93	93	372
Interest expense	(150)	(153)	(159)	(184)	(646)	(182)	(195)	(186)	(159)	(722)	(185)	(218)	(218)	(218)	(839)	(218)	(218)	(218)	(218)	(872)
Other income (expense), net	3	9	8	-	20	5	16	2	143	166	75	31	-	-	106	-	-	-	-	-
Pretax Income	3,678	4,049	4,295	4,130	16,152	4,211	4,764	5,041	5,154	19,170	5,080	5,570	5,783	5,733	22,165	5,701	6,355	6,645	6,612	25,313
% margins	58%	58%	58%	55%	57%	58%	59%	59%	59%	58%	60%	60%	60%	57%	59%	60%	60%	60%	58%	60%
Income Taxes	585	708	702	617	2,612	805	995	1,080	876	3,756	977	1,117	1,185	1,175	4,455	1,140	1,335	1,429	1,289	5,193
Tax Rate %	15.9%	17.5%	16.3%	14.9%	16.2%	19.1%	20.9%	21.4%	17.0%	19.6%	19.2%	20.1%	20.5%	20.5%	20.1%	20.0%	21.0%	21.5%	19.5%	20.5%
Net Income	\$3,093	\$3,341	\$3,593	\$3,513	\$13,540	\$3,406	\$3,769	\$3,961	\$4,278	\$15,414	\$4,103	\$4,453	\$4,597	\$4,557	\$17,711	\$4,561	\$5,020	\$5,216	\$5,323	\$20,120
y/y change	15%	22%	12%	18%	17%	10%	13%	10%	22%	14%	20%	18%	16%	7%	15%	11%	13%	13%	17%	14%
EPS - Reported	\$3.31	\$3.59	\$3.89	\$3.82	\$14.60	\$3.73	\$4.15	\$4.38	\$4.76	\$17.01	\$4.60	\$5.04	\$5.23	\$5.21	\$20.07	\$5.23	\$5.78	\$6.03	\$6.17	\$23.20
y/y change	18%	24%	15%	20%	19%	13%	15%	13%	25%	17%	23%	22%	19%	9%	18%	14%	15%	15%	19%	16%
Shares Outstanding (Diluted)	935	930	925	919	927	914	909	905	898	906	893	883	879	875	883	872	869	865	862	867

Source: Company data and RBC Capital Markets estimates

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Visa Inc.

Daniel R. Perlin (Analyst)

Outperform

NYSE: V US; USD 367.39

Price Target USD 466.00

Key Statistics

Shares O/S (MM):	1,898.0	Market Cap (MM):	697,306
Dividend:	2.68	Yield:	0.7%
		Avg. Daily Volume:	6,839,005

RBC Estimates

FY Sep	2024A	2025A	2026E	2027E
Revenue	35,926.0	40,000.0	45,879.0	50,754.0
EPS, cash Diluted	10.05	11.47	13.23	15.08
P/CEPS	36.6x	32.0x	27.8x	24.4x
EBITDA	25,173.0	28,096.0	32,164.0	36,015.0
Revenue	Q1	Q2	Q3	Q4
2025	9,510.0A	9,594.0A	10,172.0A	10,724.0A
2026	10,901.0A	11,230.0A	11,633.0A	12,115.0E
2027	12,259.0E	12,357.0E	12,813.0E	13,324.0E
EPS, cash Diluted				
2025	2.75A	2.76A	2.98A	2.98A
2026	3.17A	3.31A	3.32A	3.44E
2027	3.66E	3.67E	3.81E	3.95E

All values in USD unless otherwise noted.

Priced as of prior trading day's market close, EST (unless otherwise noted).

Valuation

Our price target of \$466 is based on 30x our CY27 EPS estimate of \$15.52, generally in line with Visa's fundamental peers. Underlying our EPS estimates are expectations for double-digit revenue growth, partly driven by a resumption of global cross-border travel. Our price target supports our Outperform rating.

Investment summary

We believe V is a core long-term holding and an "indexed" way to play payments and benefit from three global secular trends: 1) continued share gains in global cash-to-digital conversion; 2) capturing new payment flows via its network-of-networks strategy; and 3) increased utilization of value-added services. In addition, the TAM for new payment flows is ~4x the size of PCE and V is <1% penetrated, value-added services should grow 2x consumer payments, and the cross-border recovery continues to unfold.

Risks to rating and price target

A persistent slowdown in payment volumes and cross-border travel as a result of macro conditions, increased regulatory scrutiny, or pushback from large financial institutions on pricing could impede our price target objective and/or rating.



Visa, Inc.

Earnings Model (\$ in millions except per share)

	Dec-23 1Q-24A	Mar-24 2Q-24A	Jun-24 3Q-24A	Sep-24 4Q-24A	FYE 2024A	Dec-24 1Q-25A	Mar-25 2Q-25A	Jun-25 3Q-25A	Sep-25 4Q-25A	FYE 2025A	Dec-25 1Q-26A	Mar-26 2Q-26A	Jun-26 3Q-26A	Sep-26 4Q-26E	FYE 2026E	Dec-26 1Q-27E	Mar-27 2Q-27E	Jun-27 3Q-27E	Sep-27 4Q-27E	FYE 2027E
Revenue:																				
Gross Revenue	11,982	12,032	12,430	13,246	49,690	13,307	13,328	14,144	14,972	55,751	15,170	15,475	16,313	16,944	63,902	17,027	17,115	17,921	18,636	70,698
y/y change	12%	10%	10%	10%	11%	11%	11%	14%	13%	12%	14%	16%	15%	13%	15%	12%	11%	10%	10%	11%
Incentives	3,348	3,257	3,530	3,629	13,764	3,797	3,734	3,972	4,248	15,751	4,269	4,245	4,680	4,829	18,023	4,767	4,758	5,107	5,311	19,944
y/y change	20%	12%	11%	6%	12%	13%	15%	13%	17%	14%	12%	14%	18%	14%	14%	12%	12%	9%	10%	11%
% of total gross	27.9%	27.1%	28.4%	27.4%	27.7%	28.5%	28.0%	28.1%	28.4%	28.3%	28.1%	27.4%	28.7%	28.5%	28.2%	28.0%	27.8%	28.5%	28.5%	28.2%
Net Revenue	8,634	8,775	8,900	9,617	35,926	9,510	9,594	10,172	10,724	40,000	10,901	11,230	11,633	12,115	45,879	12,259	12,357	12,813	13,324	50,754
y/y change	8.8%	9.9%	9.6%	11.7%	10.0%	10.1%	9.3%	14.3%	11.5%	11.3%	14.6%	17.1%	14.4%	13.0%	14.7%	12.5%	10.0%	10.1%	10.0%	10.6%
Operating Expenses:																				
Personnel	1,479	1,603	1,573	1,609	6,264	1,813	1,657	1,749	1,742	6,961	1,764	1,841	1,895	1,999	7,499	2,010	2,051	2,089	2,199	8,349
% of revenue	17.1%	18.3%	17.7%	16.7%	17.4%	19.1%	17.3%	17.2%	16.2%	17.4%	16.2%	16.4%	16.3%	16.5%	16.3%	16.4%	16.6%	16.3%	16.5%	16.4%
Marketing, advertising & promotions	293	338	378	551	1,560	306	381	421	576	1,684	410	545	649	630	2,234	454	531	589	666	2,241
% of revenue	3.4%	3.9%	4.2%	5.7%	4.3%	3.2%	4.0%	4.1%	5.4%	4.2%	3.8%	4.9%	5.6%	5.2%	4.9%	3.7%	4.3%	4.6%	5.0%	4.4%
Professional fees	119	160	152	192	623	143	173	187	256	759	208	238	246	254	946	221	235	231	240	926
% of revenue	1.4%	1.8%	1.7%	2.0%	1.7%	1.5%	1.8%	1.8%	2.4%	1.9%	1.9%	2.1%	2.1%	2.1%	2.1%	1.8%	1.9%	1.8%	1.8%	1.8%
Network, EDP & communication	181	189	200	208	778	207	224	224	239	894	233	260	280	291	1,064	270	284	295	293	1,142
% of revenue	2.1%	2.2%	2.2%	2.2%	2.2%	2.2%	2.3%	2.2%	2.2%	2.2%	2.1%	2.3%	2.4%	2.4%	2.4%	2.2%	2.3%	2.3%	2.2%	2.2%
G&A and other	340	375	408	405	1,528	212	395	463	536	1,606	504	432	503	533	1,972	515	470	538	560	2,082
% of revenue	3.9%	4.3%	4.6%	4.2%	4.3%	2.2%	4.1%	4.6%	5.0%	4.0%	4.6%	3.8%	4.3%	4.4%	4.3%	4.2%	3.8%	4.2%	4.2%	4.1%
Total Expenses	2,412	2,665	2,711	2,965	10,753	2,681	2,830	3,044	3,349	11,904	3,119	3,316	3,573	3,707	13,715	3,469	3,571	3,742	3,957	14,739
y/y change	7%	10%	14%	11%	10%	11%	6%	12%	13%	11%	16%	17%	17%	11%	15%	11%	8%	5%	7%	7%
EBITDA	6,222	6,110	6,189	6,652	25,173	6,829	6,764	7,128	7,375	28,096	7,782	7,914	8,060	8,408	32,164	8,790	8,786	9,072	9,367	36,015
% Margin	72.1%	69.6%	69.5%	69.2%	70.1%	71.8%	70.5%	70.1%	68.8%	70.2%	71.4%	70.5%	69.3%	69.4%	70.1%	71.7%	71.1%	70.8%	70.3%	71.0%
D&A	207	206	216	227	856	236	241	263	262	1,002	272	283	303	305	1,163	307	309	311	313	1,240
EBIT & adjustments	6,015	5,904	5,973	6,425	24,317	6,593	6,523	6,865	7,113	27,094	7,510	7,631	7,757	8,103	31,001	8,483	8,477	8,761	9,054	34,775
% Margin	69.7%	67.3%	67.1%	66.8%	67.7%	69.3%	68.0%	67.5%	66.3%	67.7%	68.9%	68.0%	66.7%	66.9%	67.6%	69.2%	68.6%	68.4%	68.0%	68.5%
Other income/(expense)	84	159	51	23	317	(34)	3	156	75	200	(11)	(60)	(44)	(80)	(195)	(40)	(40)	(40)	(40)	(160)
Adjustments to non-op income		30	22	46		75	23	35	(46)	87	7	15	9	0	31					
Pretax Income - GAAP	6,029	5,513	5,989	6,372	23,903	6,200	5,438	6,333	6,223	24,194	6,726	7,174	7,398	7,959	29,257	8,379	8,373	8,657	8,950	34,359
Pretax Income - Adjusted	6,099	6,093	6,046	6,494	24,634	6,634	6,549	7,056	7,142	27,381	7,506	7,586	7,722	8,023	30,837	8,443	8,437	8,721	9,014	34,615
Pretax Margin	70.6%	69.4%	67.9%	67.5%	68.6%	69.8%	68.3%	69.4%	66.6%	68.5%	68.9%	67.6%	66.4%	66.2%	67.2%	68.9%	68.3%	68.1%	67.7%	68.2%
Income Taxes	1,161	976	1,137	1,069	4,343	1,171	1,107	1,222	1,339	4,839	1,382	1,244	1,426	1,524	5,576	1,562	1,561	1,613	1,668	6,404
Tax Rate %	19.0%	16.0%	18.8%	16.5%	17.6%	17.7%	16.9%	17.3%	18.7%	17.7%	18.4%	16.4%	18.5%	19.0%	18.1%	18.5%	18.5%	18.5%	18.5%	18.5%
Net Income	4,938	5,117	4,909	5,425	20,389	5,463	5,442	5,834	5,803	22,542	6,124	6,342	6,296	6,498	25,260	6,881	6,876	7,108	7,346	28,211
y/y change	8%	17%	9%	13%	12%	11%	6%	19%	7%	11%	12%	17%	8%	12%	12%	12%	8%	13%	13%	12%
EPS - Adjusted	\$2.41	\$2.51	\$2.42	\$2.71	\$10.05	\$2.75	\$2.76	\$2.98	\$2.98	\$11.47	\$3.17	\$3.31	\$3.32	\$3.44	\$13.23	\$3.66	\$3.67	\$3.81	\$3.95	\$15.08
y/y change	11%	20%	12%	16%	15%	14%	10%	23%	10%	14%	15%	20%	11%	15%	15%	15%	11%	15%	15%	14%
S/O - Diluted	2,045	2,039	2,029	2,003	2,029	1,985	1,974	1,959	1,945	1,966	1,933	1,916	1,898	1,890	1,909	1,882	1,875	1,867	1,860	1,871

Source: Company data and RBC Capital Markets estimates

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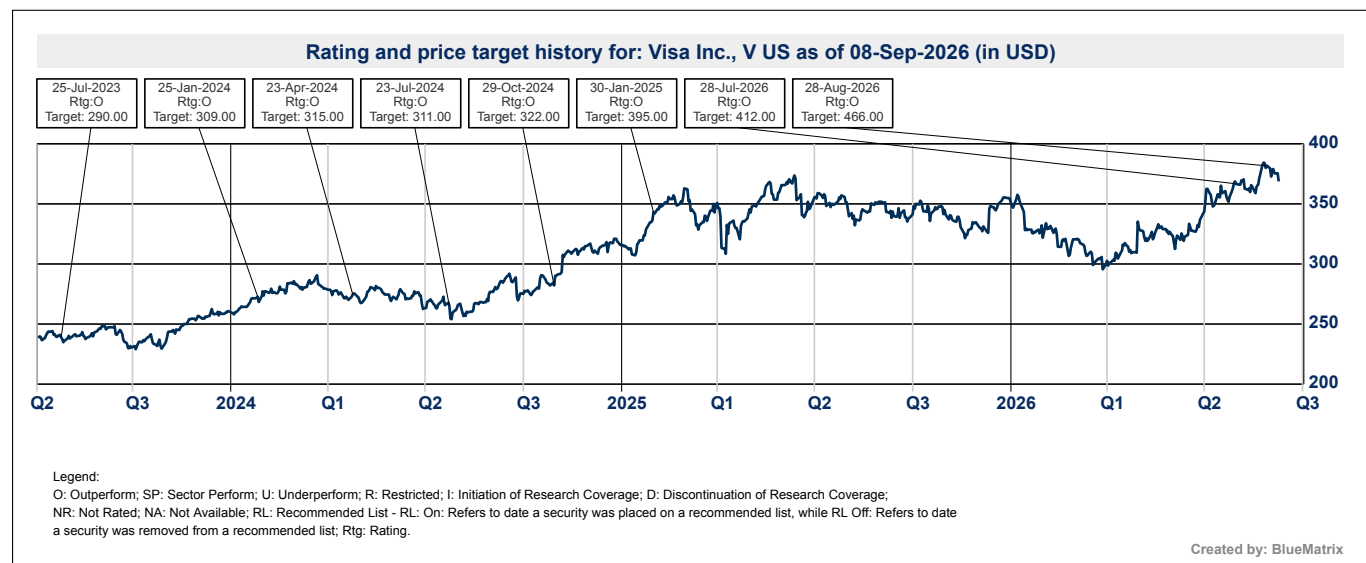
Risk Rating

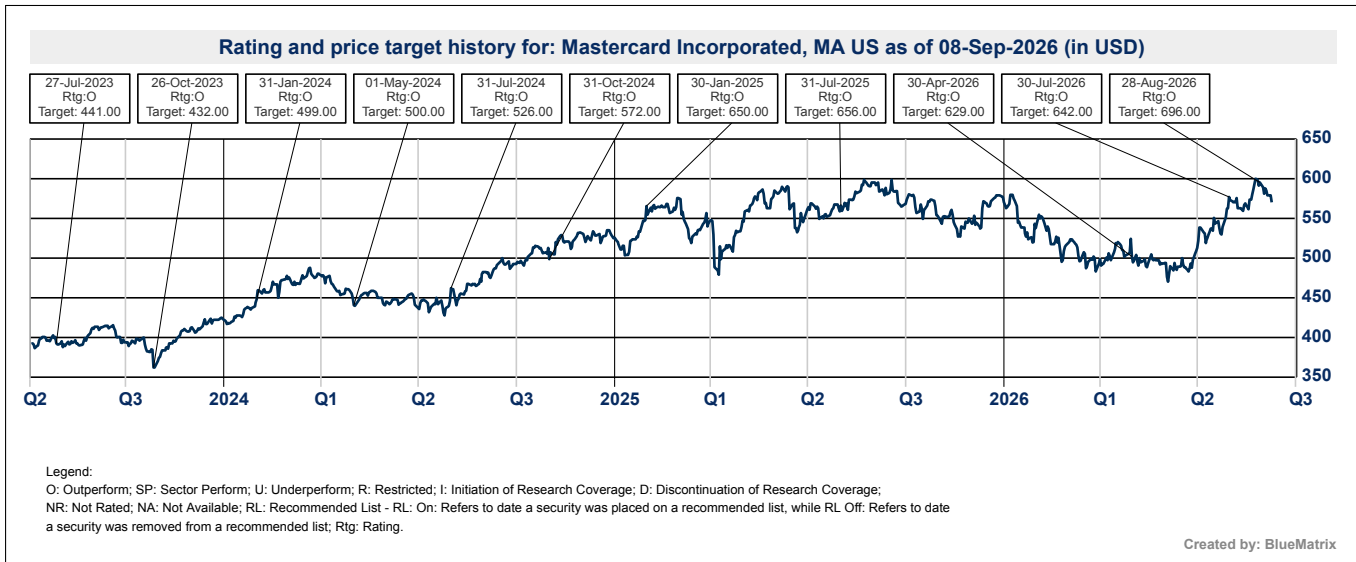
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			Serv./Past 12 Mos.	
Rating	Count	Percent	Count	Percent
			Count	Percent
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HOLD [Sector Perform]	626	39.12	161	25.72
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Mastercard Incorporated

Valuation

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Visa Inc.

Valuation

Our price target of \$466 is based on 30x our CY27 EPS estimate of \$15.52, generally in line with Visa's fundamental peers. Underlying our EPS estimates are expectations for double-digit revenue growth, partly driven by a resumption of global cross-border travel. Our price target supports our Outperform rating.

Risks to rating and price target

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